Global Macro Outlook and Strategy

Global Rates, Commodities, Currencies and Emerging Markets

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Overall summary

US Rates

- We see room for further steepening over the near term, driven by rising inflation expectations and rising term premium: we raise our YE 10-year and 30-year targets to 4.85% and 5.40%, respectively, and initiate 2s/10s steepeners. We expect no changes to nominal coupon auction sizes and next week's refunding. We think Treasury should remove "at least" from forward guidance. However, with political factors at play, it may wish to avoid clearly signaling that an expected increase in duration supply is drawing nearer, which risks pushing the curve steeper. Given the November refunding's proximity to the midterm elections, if the guidance remains unchanged next week, Treasury may reserve guidance changes until 2027.

International Rates

- Over the past couple of weeks, DM yields bear steepened across the board given a further rise in energy prices, fuelled by a continued re-escalation in the US-Iran conflict and Houthi threats in the Bab-el-Mandeb Strait, combined with renewed tariff headlines and rising doubts over Fed credibility following this week's meeting. In terms of strategy, we see risks of further bear steepening in the US amid concerns over the Fed's credibility. In Europe, we remain bullish on duration, seeing limited risks from the US-Iran conflict and expecting any near-term yield drift higher alongside a US sell-off to prove short lived.

Currencies

- Two focal issues: resurgence in energy prices and rising interest rates; both supportive of USD and carry. Stay bullish USD pre-FOMC; USD has one-sided sensitivity to oil and is undershooting rates. Higher energy prices boosting carry returns as exporters (importers) are high-yielders (funders). Empirical sensitivity to energy prices is highest for the euro bloc. EUR vulnerable with gas prices rising and regional storage low. BoJ, BoE unlikely to turn the tide for yen, GBP. Trade policy vol turning up, but only narrow FX implications for now.

Commodities

- Moving away from either keeping the waterway open or closed, Iran appears to be pursuing a different strategy: not closing the strait but regulating its use. In LNG, as the availability of ballast vessels inside the Strait slowly diminishes, Qatar Energy is forced to slowdown loadings.
- While market awaits tariff update, China keeps buying copper. Amongst major agricultural commodities, sugar is particularly exposed to El Niño because its key supply regions—India, Thailand, and Centre-South Brazil (which together account for roughly 65% of global exports)—face weather risks simultaneously but through different channels.

Emerging Markets

- The two key risks, energy prices and the Fed, are keeping uncertainty high and positioning low.
- We keep OW EM FX supported by the cyclical outlook; MW EM rates, recognizing increasing two-sided risks for inflation and central banks; and MW EM credit, both sovereigns and corporates, as tight valuations lean against an otherwise constructive tone.

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Agenda

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We project the Fed to hike by 25bp in Dec 2026. We look for 2- and 10-year Treasury yields to reach 4.30% and 4.85% by YE26 and to remain around that level into 1H27

J.P. Morgan US interest rate forecast, %

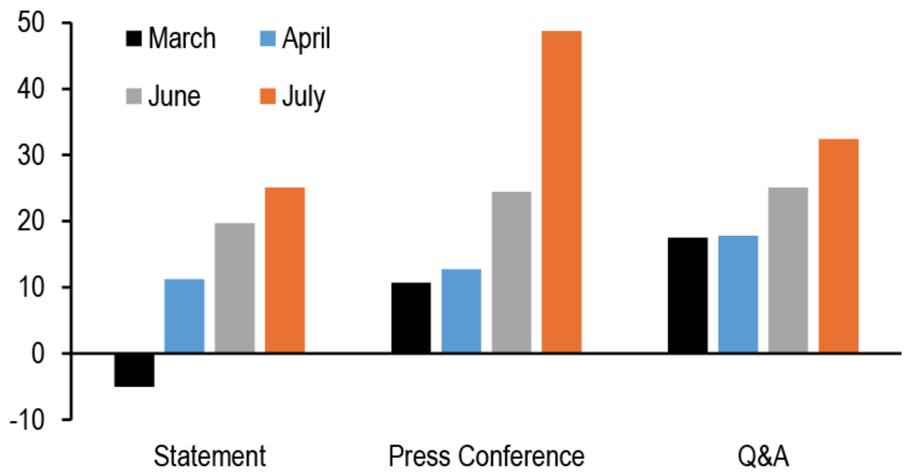
	Actual 31-Jul-26	1m ahead 31-Aug-26	3Q26 30-Sep-26	4Q26 31-Dec-26	1Q27 31-Mar-27	2Q27 30-Jun-27
Rates (%)						
Effective funds rate	3.63	3.65	3.65	3.90	3.90	3.90
SOFR	3.65	3.65	3.65	3.90	3.90	3.90
2-yr Treasury	4.29	4.30	4.25	4.30	4.30	4.30
3-yr Treasury	4.35	4.35	4.30	4.35	4.35	4.35
5-yr Treasury	4.46	4.45	4.45	4.45	4.45	4.45
7-yr Treasury	4.60	4.60	4.65	4.65	4.65	4.65
10-yr Treasury	4.74	4.80	4.80	4.85	4.85	4.85
20-yr Treasury	5.29	5.30	5.35	5.40	5.40	5.40
30-yr Treasury	5.27	5.30	5.35	5.40	5.40	5.40
Spreads (bp)						
Fed funds/2yr	66	66	60	40	40	40
2s/10s	45	50	55	55	55	55
2s/5s	17	15	20	15	15	15
5s/10s	29	35	35	40	40	40
5s/30s	82	85	90	95	95	95
10s/30s	53	50	55	55	55	55

Source: J.P. Morgan

- We forecast US GDP will grow 1.8% (q4/q4) in 2026, while core PCE remains firm at 3.4% (q4/q4). The unemployment rate should gradually fall over 2026, reaching 4.1% (%q/q, saar) in 4Q26
- **We expect the Fed to deliver a single 25bp rate hike in December 2026**, raising the funds rate target range to 3.75-4.00%, as damage to the Fed’s credibility add some urgency for the rest of the Committee to act to defend the institution’s inflation mandate
- Against this backdrop, we see **2-year Treasury yields reaching 4.30% by YE26. Meanwhile 10-year yields should rise to 4.85% by YE26**
- We see the intermediate section of the curve underperforming, with 2s/10s steeper over the period

The curve steepened sharply following the FOMC meeting, as Chair Warsh questioned the effectiveness of the Fed's policy tools and downplayed the 2% inflation mandate

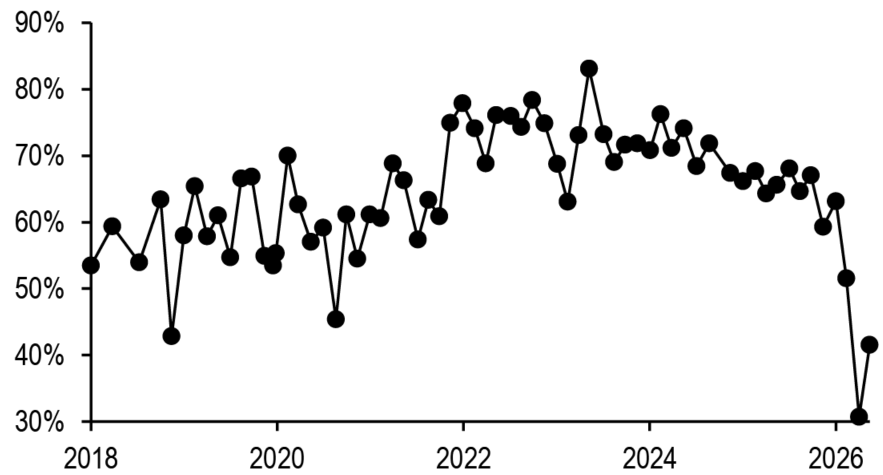
Fed Hawk-Dove Score* of various FOMC meeting components; Index



* For methodology, see *Listen up: Upgrading J.P.Morgan's central bank NLP machine*, Joseph Lupton and Dan Weitzenfeld, 7/2/2/24

Source: J.P. Morgan

Relevance score* of post-FOMC meeting press conference Q&As during the Powell and Warsh eras; %



* For methodology, see *Listen up: Upgrading J.P.Morgan's central bank NLP machine*, Joseph Lupton and Dan Weitzenfeld, 7/2/2/24

Source: J.P. Morgan

- Our Fed NLP read all aspects of the FOMC meeting as more hawkish than in June, particularly Warsh's prepared remarks, and perhaps by design, his Q&A was less relevant for monetary policy than all press conferences during the Powell era
- The curve twisted sharply steeper in the wake of the meeting, and we see two sets of comments as driving this response. First, Chair Warsh questioned the effectiveness of the Fed's tools in fighting inflation, implying that policy rates may not have to do the heavy lifting here and that the balance sheet can instead, raising the risk of more active attempts to shrink the balance sheet
- Second, Warsh paid only lip service to the 2% PCE mandate, raising risks that he may look to an array of "robust" measures to determine the future path of monetary policy, and also rely on the inflation task force's findings to ratify his world view

We pulled forward our expectations for a rate hike to Dec 2027, and we raise our interest rate forecast to reflect higher yields at the long end and steeper curve

J.P. Morgan interest rate forecast; %

Maturity	Actual 31 Jul 26	1m 30 Aug 26	3Q26 30 Sep 26	4Q26 31 Dec 26	1Q27 31 Mar 27	2Q27 30 Jun 27
Rates (%)						
Fed funds	3.63	3.65	3.65	3.90	3.90	3.90
SOFR	3.65	3.65	3.65	3.90	3.90	3.90
2-yr UST	4.29	4.30	4.25	4.30	4.30	4.30
3-yr UST	4.35	4.35	4.30	4.35	4.35	4.35
5-yr UST	4.46	4.45	4.45	4.45	4.45	4.45
7-yr UST	4.60	4.65	4.65	4.65	4.65	4.65
10-yr UST	4.74	4.80	4.80	4.85	4.85	4.85
20-yr UST	5.29	5.35	5.35	5.40	5.40	5.40
30-yr UST	5.27	5.30	5.35	5.40	5.40	5.40

Source: J.P. Morgan

- We have long argued that the market was likely to price in more than one hike, as a Fed with a neutral bias in a normalized term premium environment should leave an upward slope to the money market curve. Accordingly, we raise our front-end targets by just 5-10bp from prior levels
- We raise our YE26 10-year forecast from 4.70% to 4.85%, and we raise our 30-year target from 5.20% to 5.40%. These changes are driven by our renewed bullish stance on inflation breakevens, and an expectation that term premium could rise somewhat
- The biggest risk to this framework stems from the FOMC itself. Should a host of FOMC members speak in the coming weeks, in an attempt to counterbalance the Chair’s comments, this would likely dampen any bearish steepening move

We like adding exposure to steepeners, as we see value at the front end, while the intermediate sector appears rich: initiate 2s/10s curve steepeners

Current levels for Treasury curve pairs, with 1-year statistics and regression statistics from fair-value model* and 3-month carry and roll; bp unless otherwise indicated

Curve	Last	Min	Max	Avg	%	R^2	1y1y OIS	5y5y BE	Tariff Dummy	Fed Balance Sheet	Current Residual	Current Z-score	3m C+R
2s/5s	17	-78	78	-6	78%	68%	-0.33	0.69	0.02	-0.02	36.4	1.8	3.3
2s/10s	45	-109	129	7	67%	80%	-0.52	0.86	0.09	-0.06	45.6	1.8	4.7
2s/30s	98	-119	184	38	70%	85%	-0.67	0.76	0.20	-0.08	64.4	2.3	6.1
3s/7s	25	-55	81	6	67%	84%	-0.29	0.44	0.03	-0.03	21.2	1.8	0.9
5s/10s	29	-36	56	13	70%	93%	-0.19	0.18	0.07	-0.03	9.2	1.5	1.4
5s/20s	84	-23	118	53	73%	89%	-0.26	-0.03	0.18	-0.04	25.4	2.3	1.4
5s/30s	82	-46	123	44	73%	92%	-0.34	0.07	0.18	-0.06	28.0	2.3	2.8
7s/10s	14	-21	30	6	71%	95%	-0.09	0.08	0.05	-0.02	3.3	1.2	1.4
10s/20s	55	13	65	39	83%	68%	-0.07	-0.21	0.11	-0.01	16.2	2.3	0.0
10s/30s	53	-18	70	31	78%	86%	-0.15	-0.11	0.11	-0.03	18.8	2.4	1.4
20s/30s	-2	-32	11	-9	71%	90%	-0.08	0.10	0.00	-0.02	2.5	0.8	1.3

*Treasury curve pairs regressed on 1y1y OIS rates (%), 5y5y seasonally-adjusted TIPS breakevens (%), Fed B/S as share of the US economy (%), and a dummy variable for trade policy uncertainty that is 1 between 4/2/25 and 2/26/26. Regression over the last year
Source: J.P. Morgan, Federal Reserve

- With markets once again pricing in 55bp of easing between now and mid-2027, we see value in the front end and think it makes sense to anchor steepeners with longs in the sector
- Intermediate Treasuries remain rich after controlling for medium-term Fed policy, inflation expectations, the Fed’s balance sheet and a trade policy variable, and the 10-year sector trades near the richer end of multi-year ranges on a number of butterflies
- Notably, valuations aren’t terribly attractive, and most curve pairs appear steep after controlling for fundamental drivers, though steepeners with shorts anchored in the 10-year sector offer slightly better relative value. **We think 2s/10s steepeners are an attractive way to position for increased inflation expectations and term premium, and for those who are less comfortable with broad steepening exposure, 5s/10s is an alternative that also looks attractive to us**

Incorporating a faster pace of tariff refunds and lower tariff revenue this year, we expect a deficit of $2.02tn in FY26 and $1.96tn in FY27

J.P. Morgan projection of net privately-held borrowing, Federal Reserve purchases of Treasuries, and expected change in Treasuries held by private investors; $bn

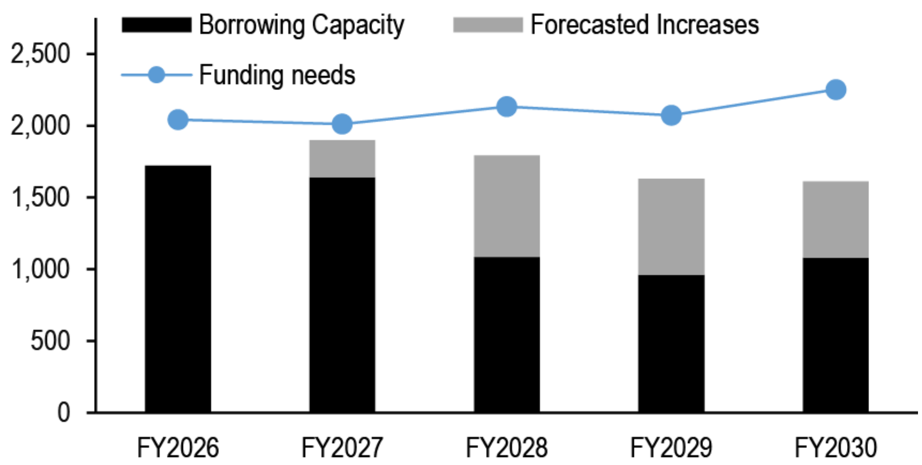
Year	Total net privately-held borrowing	Buybacks	Fed secondary market purchases		Net change in privately-held debt outstanding	
			Bills	Coupons	Bills	Coupons
CY 2020	4301	0	157	2184	2390	-432
CY 2021	1607	0	0	938	-1195	1961
CY 2022	1681	0	0	99	-37	1539
CY 2023	3122	0	0	0	2047	1107
CY 2024	2422	85	0	0	538	1823
CY 2025	2105	195	38	0	322	1719
CY 2026	2154	245	410	0	432	1305
CY 2027	2091	240	300	0	352	1439

Source: U.S. Treasury, J.P. Morgan

- IEEPA tariff refunds have been issued a modestly faster pace than we anticipated, and we expect a total of $125bn in tariff refunds between FY26 and FY27. Moreover, we forecast a slower pace of tariff revenue accumulation this year at $325bn in FY26, before returning to a $400bn pace in FY27
- **Net of these factors, we now expect a deficit of $2.020tn in FY26 and $1.960tn in FY27, versus $1.955tn and $2.050tn, respectively, at the start of the year**
- Net of Fed purchases and buybacks, this translates to a $432bn change in privately-held bills this calendar year and $1.305tn in net privately-held coupon issuance

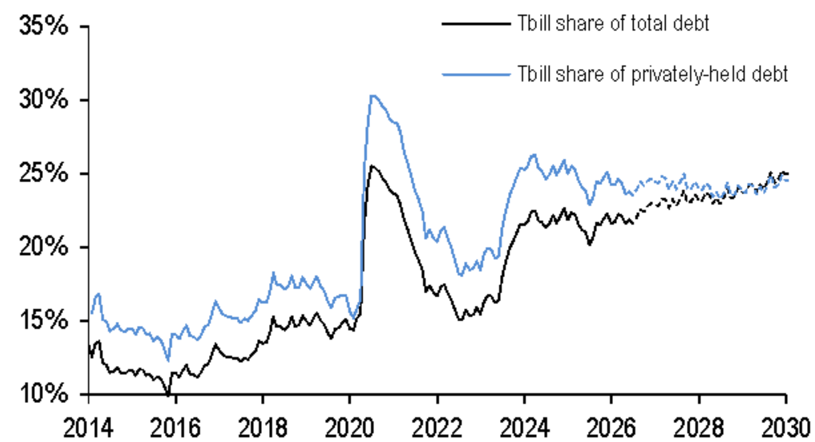
We continue to believe Treasury should change its issuance guidance in August, but it is increasingly likely Treasury will leave its forward guidance language unchanged until 2027

US Treasury net coupon borrowing capacity under unchanged issuance * and under J.P. Morgan forecast versus total funding needs; $bn**



* Incorporates SOMA add-ons from maturities of first-time Fed bill purchases
**Assumes multi-quarter series of increases to 2s through 10s beginning in February 2027
Source: US Treasury, CBO, J.P. Morgan

T-bill share of total debt vs. share of privately-held debt, including J.P. Morgan forecasts*; %

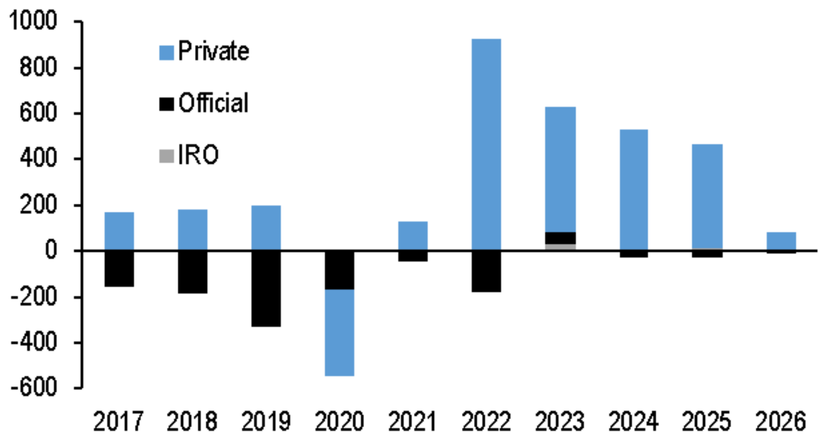


*J.P. Morgan forecasts reflect a multi-quarter series of nominal coupon auction size increases beginning in February 2027 concentrated in 2s through 10s, while 20s and 30s are left unchanged (see US Treasury Market Daily, 1/23/26 for details), and assume RMPs at a pace of $10bn/mo
Source: J.P. Morgan

- Under their current schedule, Treasury remains well funded in FY26, though large gaps emerge in FY27 and beyond. Thus, from a prudent debt management perspective, we think next week Treasury *should* remove “at least” from the long-standing forward guidance that it “anticipates maintaining nominal coupon and FRN auction sizes for at least the next several quarters…”
- …However, this close to the midterms, Treasury may risk to avoid clearly signaling that an expected increase in duration supply is drawing nearer, as this risks pushing the curve steeper as market participants demand higher term premium…
- …Thus, it is becoming increasingly likely that Treasury will leave its forward guidance language unchanged. We still expect Treasury to begin a multi-quarter series of coupon increases in Feb 2027, but if the guidance remains unchanged in August, expectations around coupon auction size increases would push much deeper into 2027

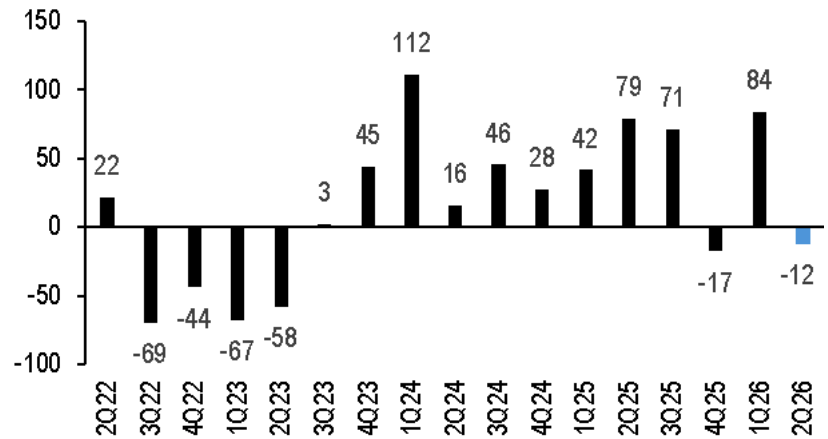
Foreign demand is running at its slowest pace since 2021 and commercial bank demand has waned, while we have seen robust bond fund inflows…

Annual net foreign purchases of long-term Treasuries by type*; $bn



*Through March 2026
Source: Treasury International Capital System

Quarterly change in commercial bank holdings of non-MBS Treasury and agency securities*; $bn



*2Q26 through 5/27/26
Source: Federal Reserve

- Foreign demand is running at its slowest pace since 2021, and demand continues to shorten along the curve. A resilient US economy, a Fed shifting hawkishly, and attractive valuations in home jurisdiction government bonds suggest foreign demand should remain weak
- Commercial bank demand has waned alongside firmer loan growth and unattractive valuations. We lower our demand forecast
- The AUM of the top core bond funds continue to increase at a robust clip, and we would expect yields near their cycle highs will keep inflows strong
- We continue to project reduced LDI demand. With DB pension plans heavily invested in fixed income securities, funding ratios above 100%, and the volatility in funding ratios having declined considerably, duration demand is likely to remain muted

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…We revise lower our demand forecasts, and the shift towards price-sensitive investors will help keep long-term yields anchored at higher levels

Annual net issuance of Treasuries versus purchases by investor types; $bn

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
UST net issuance; $bn	557	1134	1068	4301	1607	1353	2434	1974	2425	2428
Investor										
Foreign Investors	308	120	298	67	606	393	594	609	509	450
Commercial banks	-43	87	126	328	449	9	-83	194	179	150
Pension/Insurance**	151	57	6	13	179	-8	143	226	183	150
Broker dealers	17	132	-47	-9	-104	85	121	130	71	100
Mutual funds/ETFs	186	121	187	24	410	127	101	211	259	225
Money market funds	-95	189	178	1343	-651	-751	1236	725	250	400
Fed	-9	-214	60	2388	963	-594	-720	-475	-100	410
Demand gap***	41	640	262	146	-244	2091	1042	354	1075	543

* J.P. Morgan estimates
** Includes private and state pension funds, life and property/casualty insurance companies
*** Positive number means supply exceeds estimated demand
Source: J.P. Morgan, Federal Reserve

- If our projections become reality, other investors will need to absorb $543bn in additional Treasury supply. This supports our thesis that with Treasury market ownership continuing to shift toward more price-sensitive investors, alongside a Fed on hold, this should help keep intermediate and long-end yields anchored at somewhat higher levels through the remainder of this year

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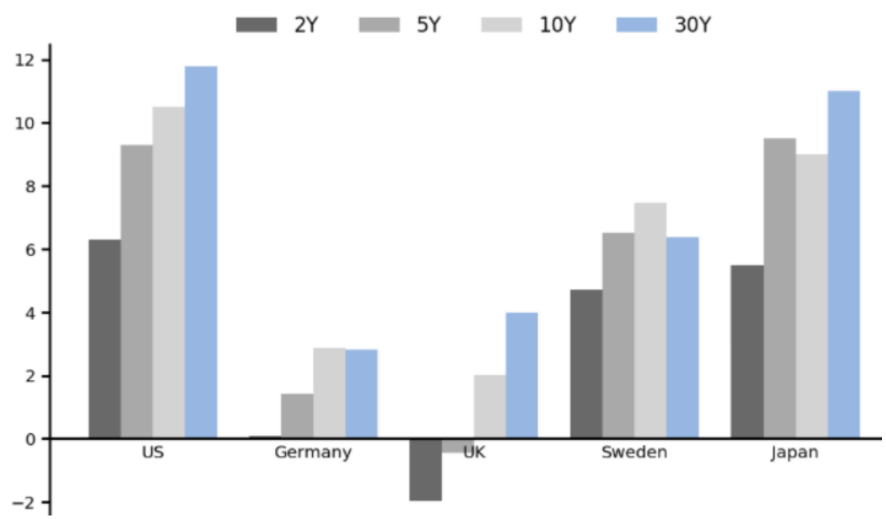
Agenda

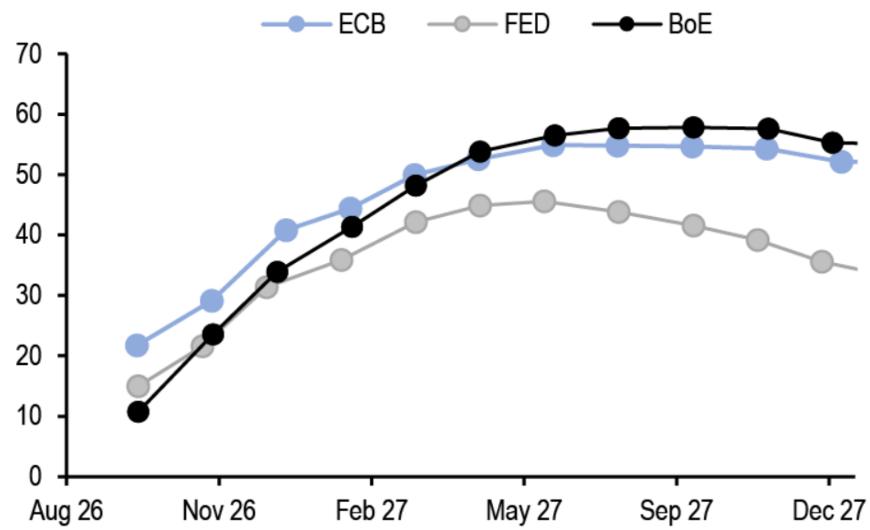
DM rates: Trade the credibility gap - hold long 10Y Bund vs. USTs

Change in b/m yield since 17 July 2026 COB by region;
Bp



Source: J.P. Morgan.

Cumulative change in OIS rates over the upcoming ECB, Fed and BoE meetings;
Bp

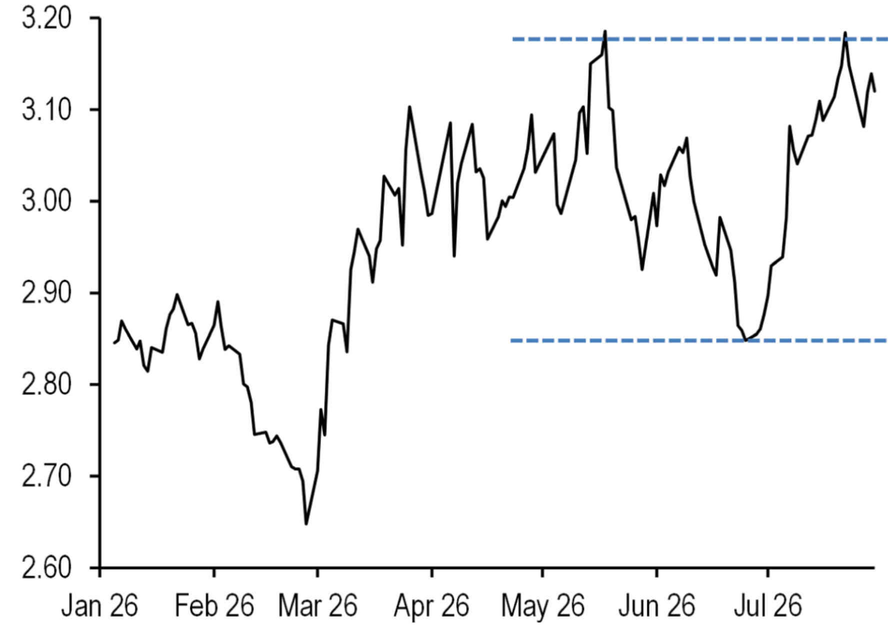


Source: J.P. Morgan.

- Over the past couple of weeks, DM yields bear steepened across the board given a further rise in energy prices, fuelled by a continued re-escalation in the US-Iran conflict and Houthi threats in the Bab-el-Mandeb Strait, combined with renewed tariff headlines and rising doubts over Fed credibility.
- The ECB, Fed, BoE and BoJ all kept policy rates on hold at their July meetings, as widely expected, though the Fed's meeting took centre stage as Warsh's comments raised questions about the Fed's credibility in delivering lower inflation. Indeed, for a second consecutive meeting, Warsh reiterated the Fed's commitment to bringing inflation down, although without outlining a clear policy framework to deliver it, instead downplaying both the effectiveness of the Fed's tools in fighting inflation and his commitment to 2% PCE inflation.
- In terms of strategy, we see risks of further bear steepening in the US amid concerns over the Fed's credibility and **enter 2s/10s UST curve steepeners as well as 5Yx5Y ZCIS wideners**. In Europe, we remain bullish on duration, seeing limited risks from the US-Iran conflict and expecting any near-term yield drift higher alongside a US sell-off to prove short lived. We **stay long 10Y Germany vs. US** and keep cross market longs on front-end EUR rates vs. USD via options. We also **hold longs in 10Y Bunds**

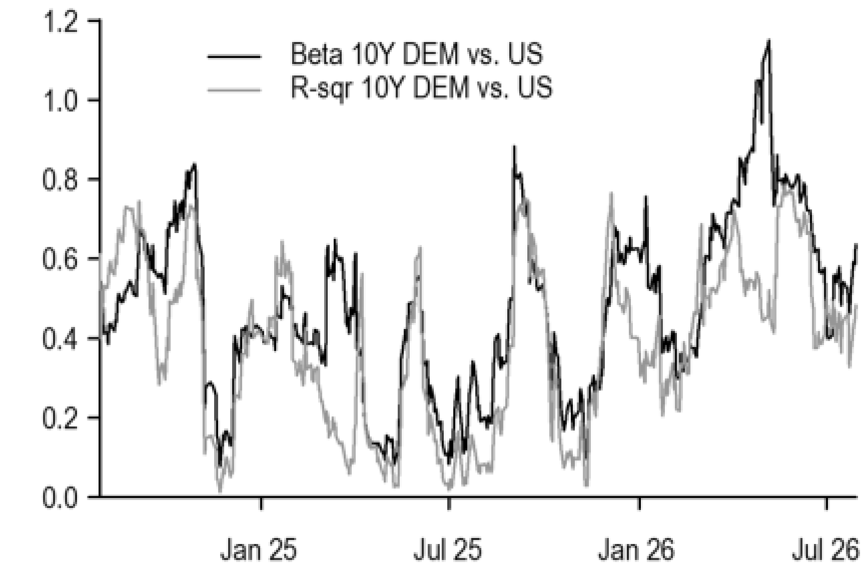
Euro area: Hold longs in 10Y German and stay long 10Y Bunds vs. UST; in intra-EMU, short 10Y Italy vs. France

10Y US-Germany yield;
Bund Feb36 yield; %



Source: J.P. Morgan.

1M rolling R-squared of 10Y German par rate regressed against 10Y US par rate
%

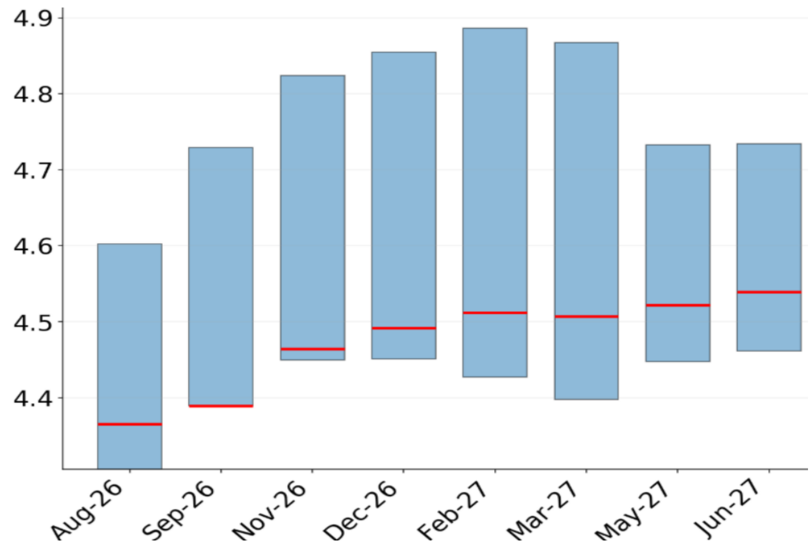


Source: J.P. Morgan.

- **<u>Duration</u>:** We find the steepening of Euro curves unjustified and find intermediate German yields quite cheap now; **stay long 10Y Germany** outright and **long 10Y Bund vs. UST**
- **<u>Intra-EMU strategy</u>:** Remain **cautious stance on intra-EMU/€-SSA carry exposures** as at current valuations the spread carry is not providing sufficient cushion against potential risk-off widening risks, especially given already OW positioning. We stay **short 10Y Italy vs. France** as a risk-off carry efficient proxy and tactical way to position for potential Italian budget noise. Hold long 30Y EU vs. swap to express our strategic OW EU theme. Keep UW 10Y Belgium vs. France/Germany in 50:50 flies as an attractive convex hedge against tail risk of further escalation in the Middle East conflict.
- **<u>Derivatives</u>**: We look for 1Yx1Y €STR to trade in a 2.40%–2.60% range. After the recent selloff, we remain biased towards lower money market yields but remain wary of near-term volatility. **We avoid outright exposure in the €STR curve and prefer bullish expressions via options** (we recommend buying Mar27 Euribor 1x2 call spread). We recommend buying 3Mx(1Yx1Y) A/A-20bp receiver spread funded by selling around A+25bp payer. Keep **carry trades:** 1) Hold Bund/Buxl swap spread steepener, 2) short

Australia/New Zealand: 2s/10s AUD steepeners and pay the 2Yx2Y NZD-AUD IRS spread on policy rate convergence

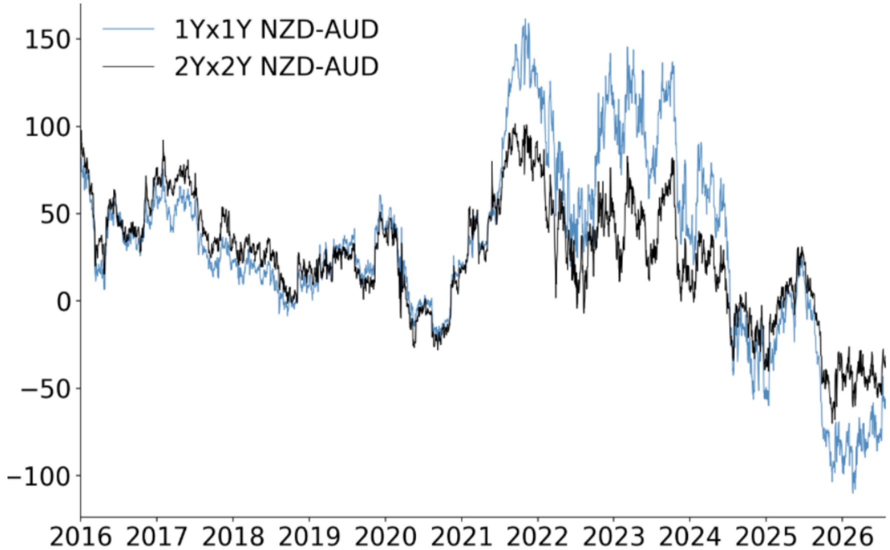
RBA meeting date OIS (%), level (red) and range since mid-March



Source: J.P. Morgan.

NZD-AUD 2Y2Y spread

Bp



Source: J.P. Morgan.

- **Australia**: Australia's softer-than-expected 2Q CPI report underscored that inflation pressures are relatively narrow and that the cash rate is already at its peak. AUD OIS has repriced toward the bottom of the range. We think the RBA is likely to maintain a moderate tightening bias while spot inflation is high (even if not acting on it), so curve trades are preferable to outright received positions; we **hold Nov26/Aug27 RBA OIS flatteners** as view on a likely-delayed turn toward easing. We have a bullish bias to AUD three-year yields reflecting the policy outlook, but given the Fed backdrop, this is better-expressed in the proxy of a **3s/10s steepener**. We close 5Yx5Y AUD-USD IRS-SFR spread tightener after the recent repricing.
- **New Zealand**: we pay the **2Yx2Y NZD-AUD IRS spread** on reconvergence of policy rates since 2Q inflation surprised to the upside in NZ in contrast with AUD and the RBNZ characterizes hikes as removing accommodation, suggesting a low bar to further action in upcoming meetings

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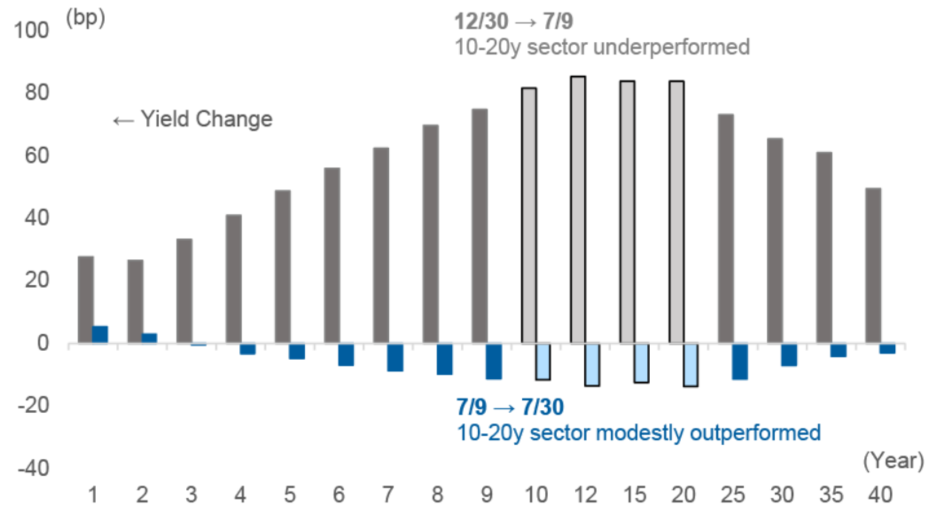
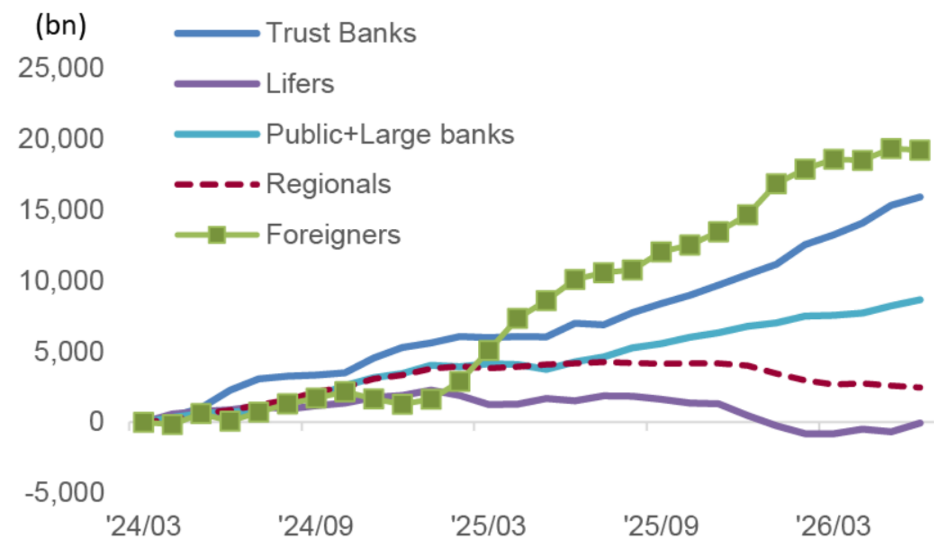
Japan: keep 5s/10s/30s JGB body short and 5s/20s JGB curve steepeners

From End-2025 to Finance Minister Katayama's GPIF Remarks (Dec 30-Jul 9) vs. Since Finance Minister Katayama's GPIF Remarks (Jul 9 onward)



Source: J.P. Morgan.

Investor Flows in the Super-Long Sector;



Source: J.P. Morgan.

- In Japan, The **BoJ** left policy unchanged, but both the Outlook Report and Governor Ueda's press conference adopted a more hawkish tone, emphasizing upside inflation risks and the possibility of a faster pace of tightening. Our economists maintain their October rate-hike forecast, while acknowledging a higher risk of a September move if yen weakness reaccelerates.
- GPIF-related speculation triggered short-covering and helped the 10-year sector retrace part of its cheapness. While recent hawkish BoJ communication could provide some flattening pressure on the curve, fiscal concerns and lingering supply-demand headwinds remain important considerations. Although insurers increased purchases of super-long JGBs in June, slowing demand from foreign investors and pension-related rebalancing flows is unlikely to be fully offset.
- We therefore maintain our recommendations of a **5s10s30s JGB body short** and a **5s20s JGB steepener**, while staying cautious on positioning.

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International Rates trade recommendations

Euro area

- **Euro duration**: Stay long 10Y Germany, with a tight stop, and look to take-profit below 3.0%. Keep long 10Y Bunds vs. USTs.
- **Intra-EMU**: Stay cautious on intra-EMU/€-SSA carry as the ongoing US-Iran conflict challenges the summer carry narrative. Hold long 30Y EU vs. swap. Recent Italian coalition friction raises political-noise risk into the 2027 budget: stay short 10Y Italy vs. France. Hold UW 10Y Belgium vs. France/Germany.
- **Derivatives**: Keep a bullish duration bias on the money market sector via options. We recommend buying Mar27 Euribor 1x2 call spread (97/97.3125). Stay in 3Mx(1Yx1Y) receiver spread versus paying OTM payer. Take profit on the belly of 1Y/1Yx1Y/2Yx1Y 50:50 €STR fly. Hold 10s/30s steepening bias and keep 2Yx2Y/10Yx10Y steepener on RV considerations. Stay neutral on Schatz and Bund spreads. Keep Bund/Buxl swap spread curve steepener. Stay short volatility via shorts in 3Mx5Y and short unhedged 3Mx(3Yx1Y) straddles.

UK

- **UK**: Take profit on the paid belly of 1Y/1Yx1Y/2Yx1Y SONIA fly as a carry trade. Keep tactical long in 10Y gilts. Remove 10s/30s gilt curve flattening bias. Stay short 3Mx1Y gamma.

Scandinavia

- **Sweden**: We stay neutral on Stibor yields on an outright and cross market basis at the front-end; hold 5Yx5Y Stibor/Euribor widener on medium-term considerations.
- **Norway:** hold reds/greens Nibor flattener as low-beta bearish proxy and attractive carry

Japan

- **Japan**: We maintain our recommendations of a 5s10s30s JGB body short and a 5s20s JGB steepener, while staying cautious on positioning.

Antipodean

- **Australia & New Zealand**: Hold the ACGB 3s/10s (YMU6/XMU6) futures curve steepener. Close the AUD-USD 2Y1Y (IRS-SFR) spread tightener and paid NZD-AUD 5Y5Y positions. Pay the NZD-AUD 2Y2Y IRS spread.

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Agenda

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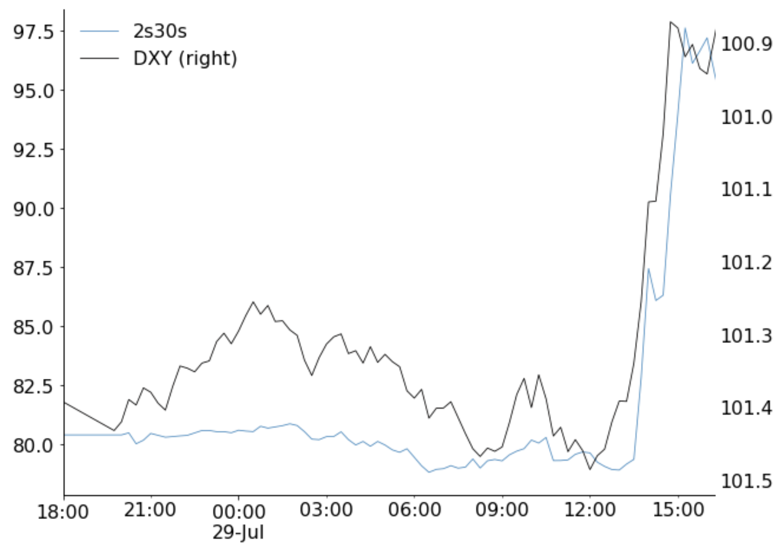
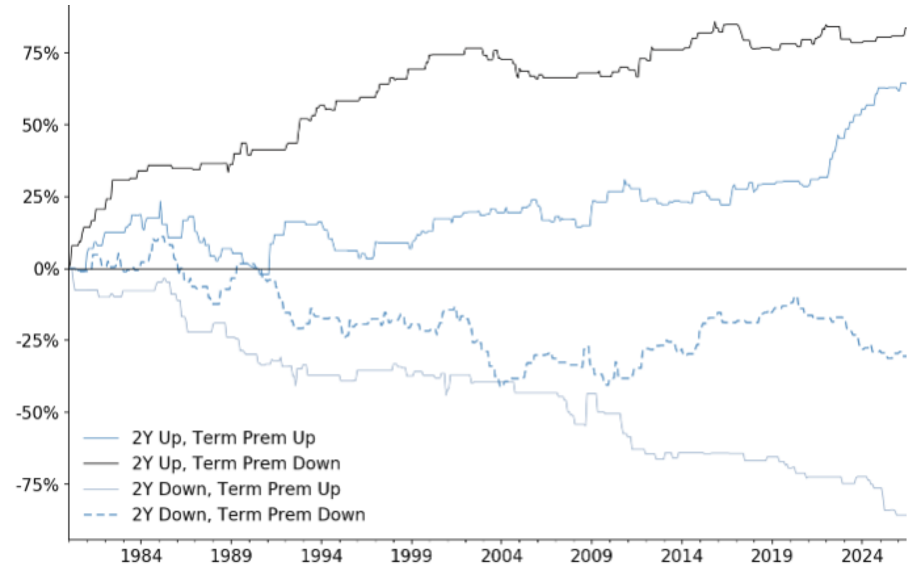
Staying long-USD post FOMC despite renewed inflation risk premium

LHS: 2s30s; RHS: DXY (inverted)



Source: J.P. Morgan, Bloomberg Finance L.P.

Cumulative USD returns (monthly) in various rates scenarios.



Source: J.P. Morgan

- **Despite hawkish prepared remarks, the dollar weakened post FOMC as the press conference ushered concerns about Fed credibility** in lowering inflation. The dollar sold off in parallel with the extraordinary twist steepening in the 2s30s.
- **Inflation breakevens rising while real yields fall is a corrosive combination for the dollar**. The evolution of the dollar should still be data dependent, so if this week's payrolls stays firm it would still allow the dollar to strengthen.
- **There are still some residual dollar supports**: 1) **We have moved forward our Fed call to December** this year, with September still live; 2) Short end rate differential erosion was not extreme and US data remain solid; 3) energy/geopolitics-driven risk-off dynamics and a broader global equity sell-off would also be USD-supportive

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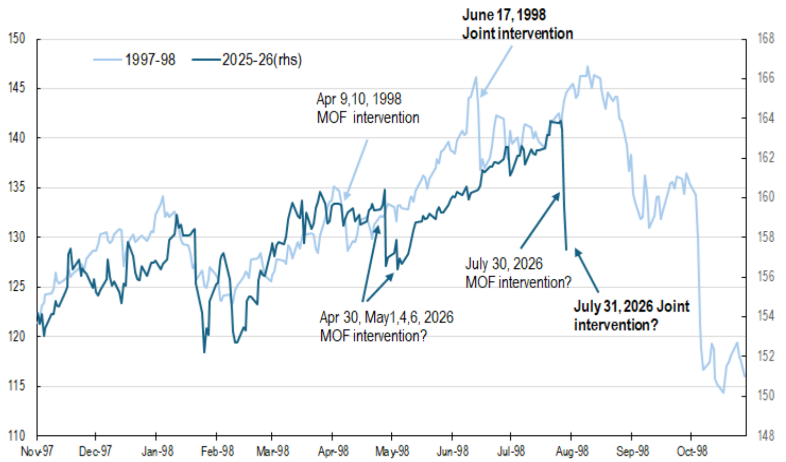
JPY: Strong US-Japan cooperation against weak JPY, though expect low likelihood that coordinated intervention would lead to major yen appreciation below 150; USD/JPY 4Q 164

USD/JPY developments around US-Japan coordinated intervention in June 1998 and its comparison with the current moves



Source: J.P. Morgan, Bloomberg Finance L.P.

UST Exchange Stabilization Fund foreign currency holdings ($ mns)

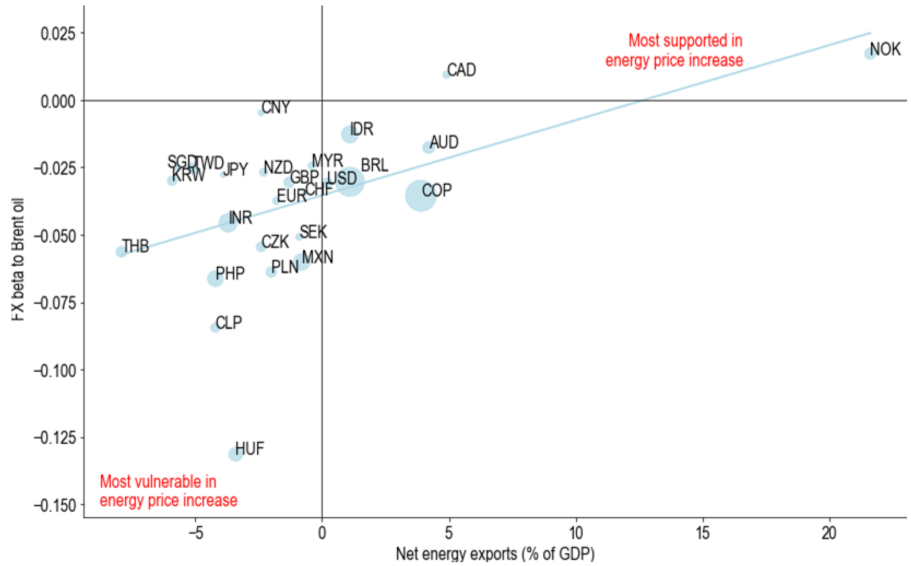
	FOREIGN CURRENCY ASSETS	EUR	JPY
Deposits with Official Institutions	Foreign Currency Denominated	$ 1,235.4	$ -
	Uninvested Foreign Currency	$ 11.4	$ 3,308.8
Securities	Held Outright	$ 11,707.4	$ 2,481.9
	Held Under Repurchase Agmts	$ -	$ -
TOTAL		$ 12,954.3	$ 5,790.7

Source: J.P.Morgan

- **Japan's MOF appears to have conducted yen-buying intervention again**. The FT also reported that US authorities carried out coordinated yen-buying intervention for the first time since June 17, 1998.
- However, the 1998 episode suggest that sharp USD/JPY decline was heavily influenced not by intervention, **making it unclear whether coordinated intervention itself had the power to reverse the USD/JPY trend.**
- **US yen-buying appears to have been conducted not against USD but against EUR**. This suggests that the purpose of US intervention was to support Japan's efforts to prevent yen depreciation, rather than to push down the US dollar.
- A more supportive-than-expected stance by US authorities toward preventing yen depreciation should reduce the risk of USD/JPY rising beyond 164. However, we see a low likelihood that coordinated intervention would lead to major yen appreciation that takes USD/JPY below 150
- Forecasts unchanged: 3Q26 at 160, 4Q26 at 164, and 2Q27 at 164

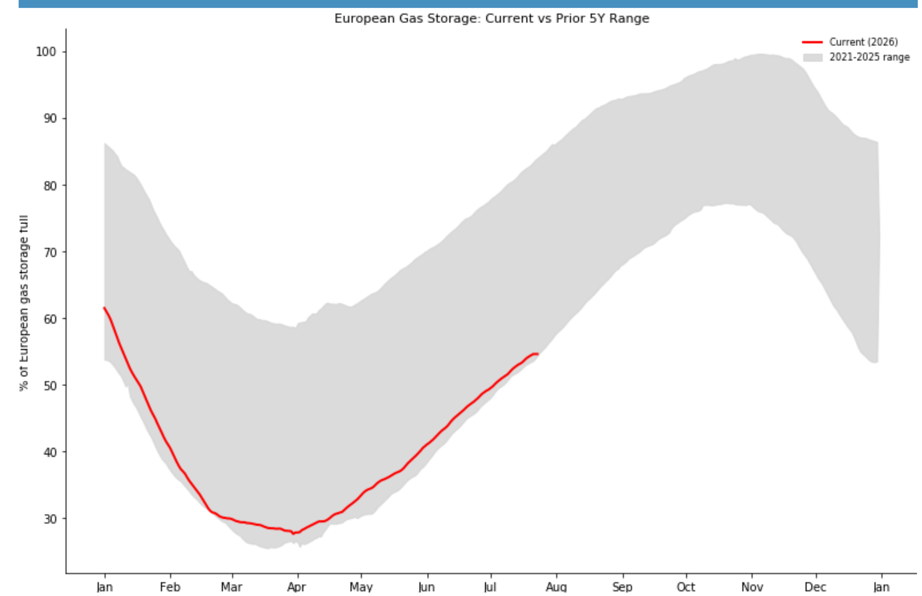
Energy import dependency is the highest for Asia, followed by the euro bloc, but empirical FX sensitivity to energy prices is larger for the euro bloc

Oil beta of CCY/USD (1y beta based on 1 week changes) vs. net energy exports as % of GDP; size of scatter dot reflects level of carry vs USD.



Source: J.P. Morgan, World Bank, Haver

European gas storage : current vs prior 5 year range

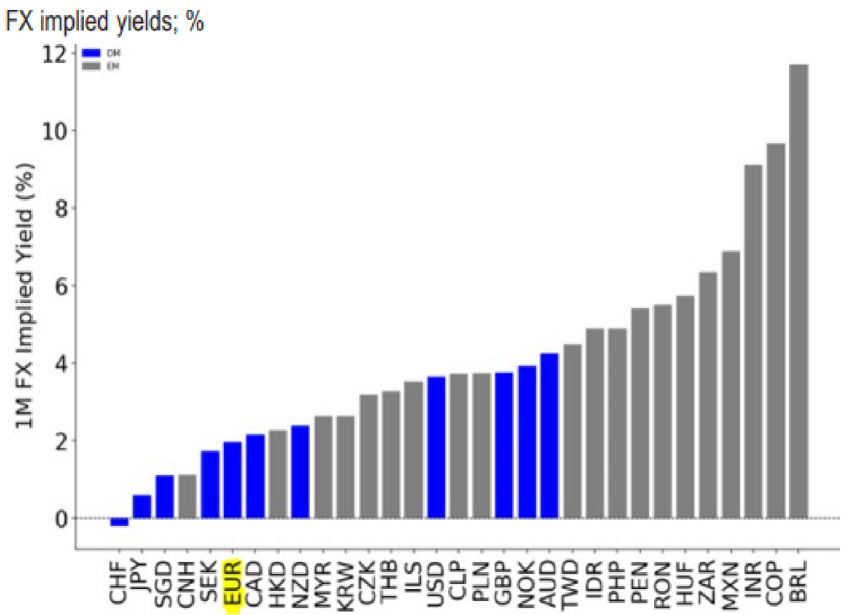


Source: J.P. Morgan, Bloomberg Finance L.P.,

- Energy import dependency is the highest for Asia, followed by the euro bloc, but empirical FX sensitivity to energy prices is larger for the euro bloc.
- Rising gas prices should be relevant for the euro in particular where storage is running lower than usual for this time of the year; we continue to use EUR as a funder.
- Among the other low-yielders, SEK has been the most vulnerable to rising energy prices, a currency we remain bearish on despite an improving bottom-up story.

EUR: keep using as a funder on softer data and lack of carry…Fed hikes have coincide with EUR/USD weakening by 15%...

FX implied yields; %



Source: J.P. Morgan

EUR/USD and ECB deposit rate – Fed Target rate

Fed hikes	EUR/USD move	# months pre hike EUR/USD peaked	Cumulative chg in EU-US policy rate (bp)	EUR/USD move/ 10bp
1999	-33%	7		
2004	26%	na	-360	0.7%
2015	-25%	18	-240	-1.0%
2022	-22%	9	-220	-1.0%

- We were already bearish EUR/USD in our recommendations and forecasts, and now lower our baseline target over the extended forecast horizon further to 1.10 (prior low 1.13) and 2H range of 1.13-1.15. 4Q'26 1.13, 2Q'27 1.10

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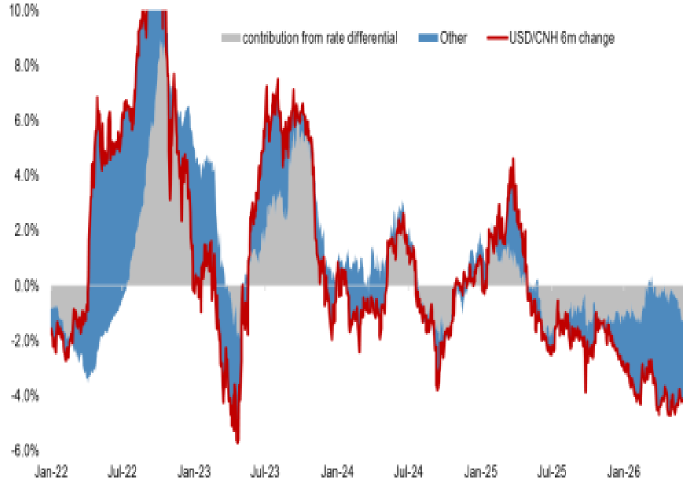
CNY (4Q26: 6.70; 2Q27: 6.80): remain bullish on CNY, expecting supportive flow dynamics and continued foreign demand for RMB assets

USD/CNH 6 month change and contribution from rate differential

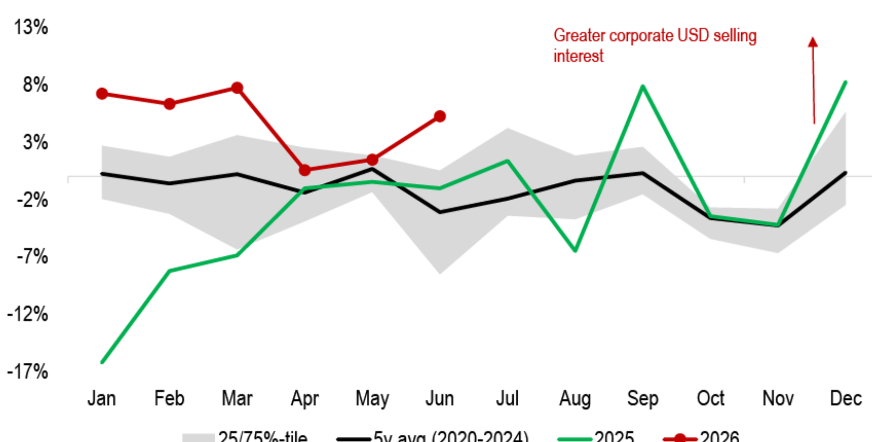


Source for both: Bloomberg Finance L.P., J.P. Morgan

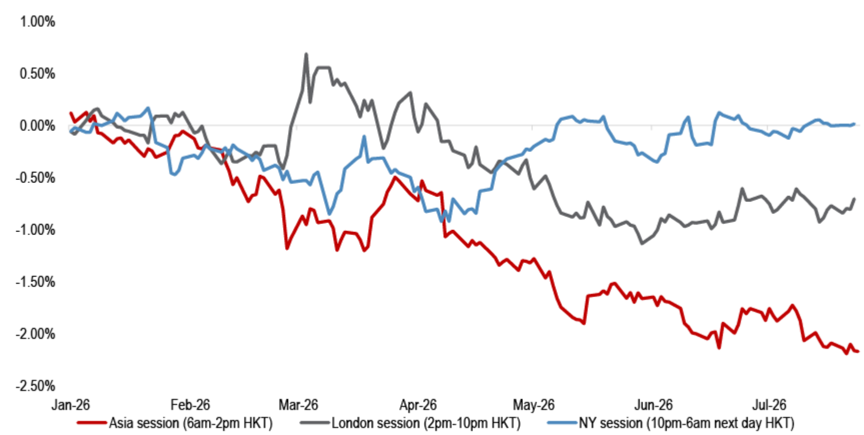
USD/CNH spot and rate fundamentals

Source for both: Bloomberg Finance L.P., J.P. Morgan

net FX settlement ratio, %-ppt
Chinese corporates have continued to sell USD, though the pace has moderated in recent months



Cumulative change in USD/CNH by trading sessions



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Source for both: Bloomberg Finance L.P., J.P. Morgan

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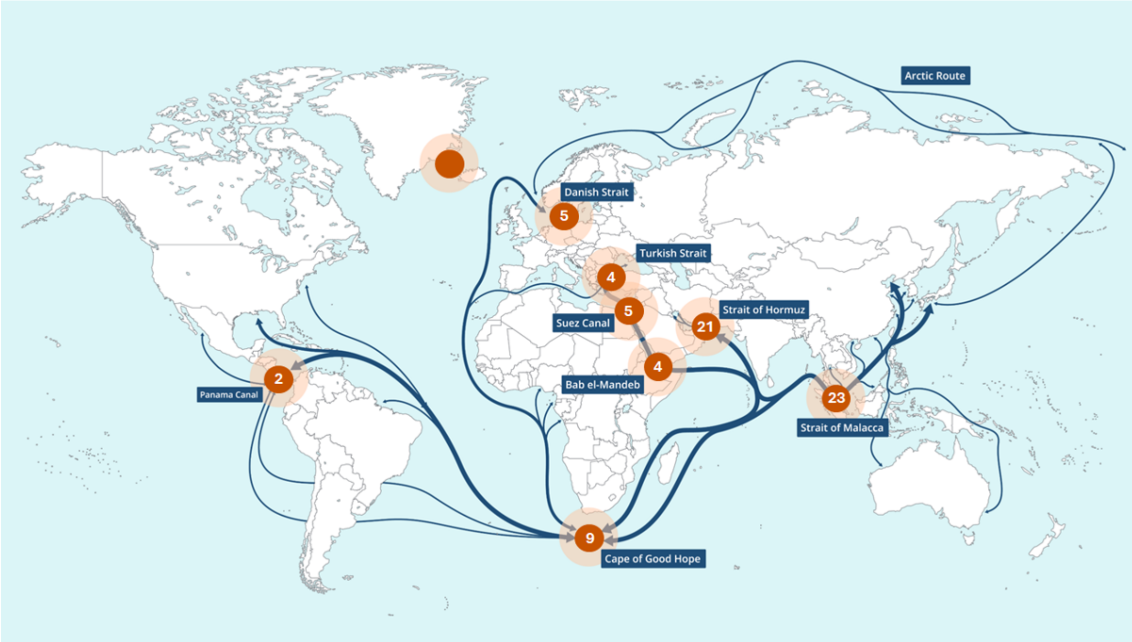
Oil Markets: From chokepoint to checkbook

Global chokepoints
Red circles indicate major maritime chokepoints; labels show oil flows in million barrels per day



Source: Shutterstock, J.P. Morgan Commodities Research

- Iran's approach to the Strait of Hormuz is often framed in binary terms—either the waterway is kept open or closed. Increasingly, however, Iran appears to be pursuing a different strategy: not closing the strait but regulating its use.
- Precedence suggests that the strategy could be legally defensible. Working jointly with Oman, which shares jurisdiction over the Strait, Iran could argue that vessels transiting the strait should pay not for the right to pass, but for specific services rendered, such as navigational safety, vessel traffic management, security escorts, emergency response, and environmental protection. By structuring the measure as a service fee rather than a transit toll, and by coordinating with Oman as the other littoral state, Iran could propose a legal framework that appears consistent with international maritime law. The objective would be to secure at least tacit support from the United Nations and the International Maritime Organization by emphasizing that the charges are non-discriminatory, linked to identifiable services, and intended to enhance the safety and environmental integrity of one of the world's most strategically important waterways.

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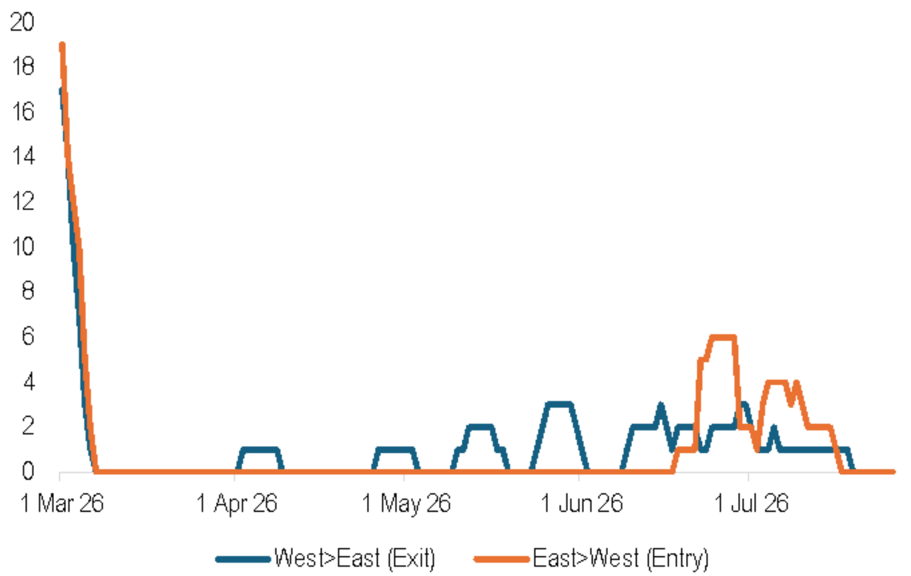
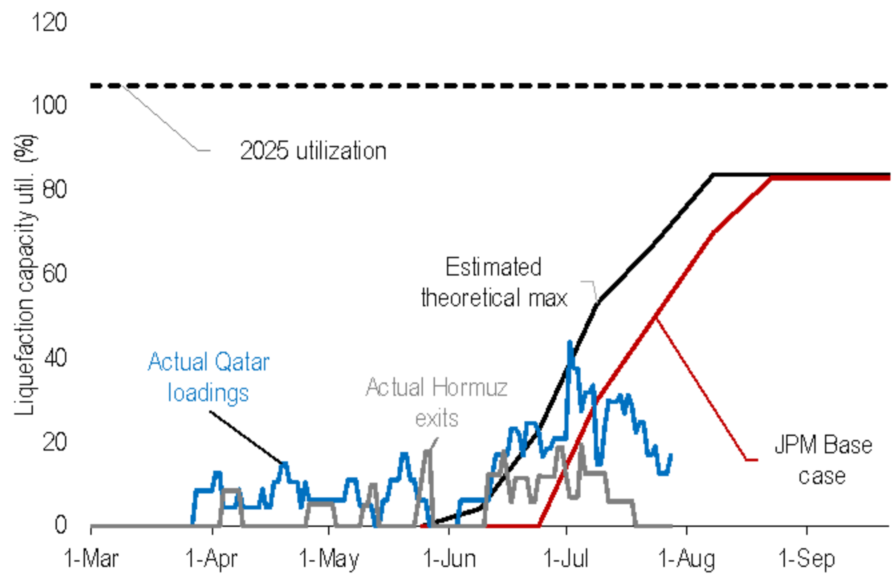
Natural Gas Markets: Qatar utilization slips further

LNG vessels traffic in Strait of Hormuz
n of vessels, 7 day moving sum



Source: J.P. Morgan Commodities Research

Actual ramp up speed of Qatar LNG liquefaction capacity
%

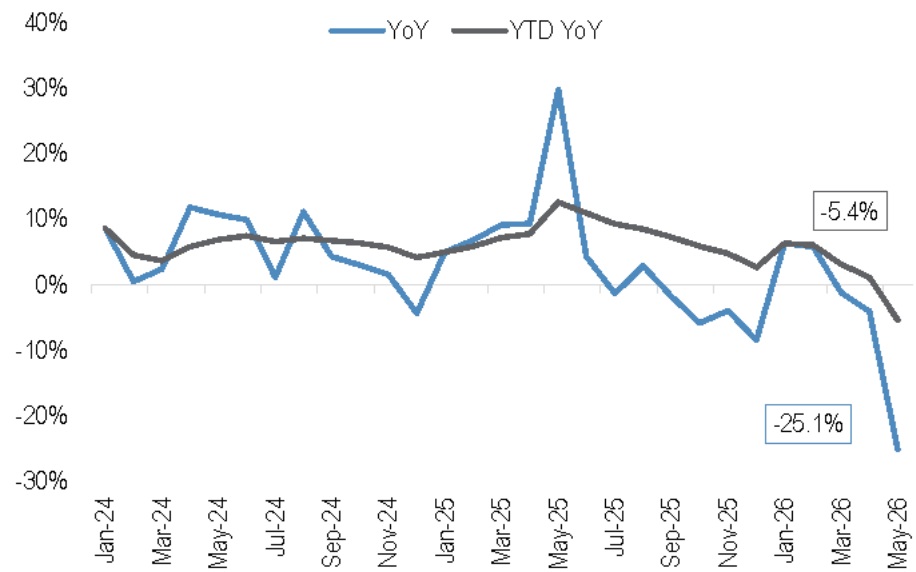


Source: Bloomberg Finance L.P., Wood Mackenzie, J.P. Morgan Commodities Research. Note: Actual loadings and Hormuz exits are 7-day moving averages. Hormuz exits are based on observed number of crossings and average Qatari cargo size, includes all exits (i.e. ballast and UAE loaded cargoes).

- LNG transit via the Strait of Hormuz remains halted. With the last observed exit of an LNG vessel through the Strait took place on July 12, while the last confirmed entry happened two days earlier on July 10. Deliveries to Kuwait have also slowed down.
- As the availability of ballast vessels inside the Strait slowly diminishes, Qatar Energy is forced to slowdown loadings. There has been no confirmed transits via Hormuz in the week of July 20, we still count 23 LNG vessels in the Gulf, and demand within the Gulf (Kuwait + UAE) remains limited. Accordingly, we estimate that Qatar's liquefaction capacity is now averaging near 13% on a 7DMA basis.
- The key question now is how quickly the current escalation can be resolved, whether Qatar may be forced to shut down production again and what is the risk premium around Qatar's supply in the upcoming winter.

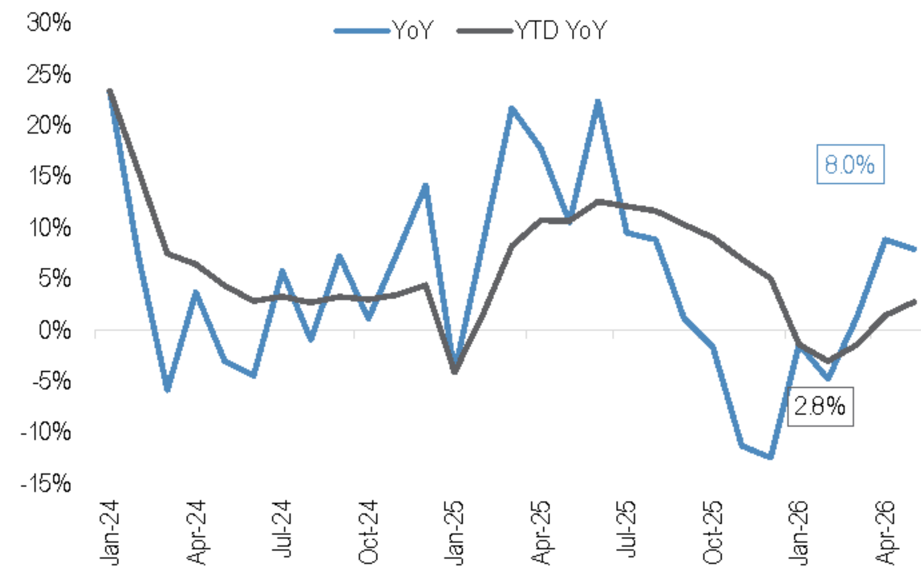
Metals Markets: While market awaits tariff update, China keeps buying copper

Consumption-weighted end use indicator for Chinese copper demand growth
LHS: Percent change, yoy; RHS: Percent change, YTD yoy



Source: China National Energy Administration, China Automotive Tech and Research Center, Tianjin, NBS, China Customs, Bloomberg Finance L.P., J.P. Morgan Commodities Research.
Note: This indicator applies consumption-weights to underlying reported end-use production/installation/export growth figures to derive an estimate for monthly aggregate Chinese copper demand growth. It covers construction, grid, solar, wind, EVs, other transport, consumer durables, ACs/refrigeration, machinery and product and cable exports which, combined, roughly account for 90% of Chinese end use demand. Data through May 2026.

China copper apparent demand growth
Percent change



Source: China National Energy Administration, China Automotive Tech and Research Center, Tianjin, NBS, China Customs, Bloomberg Finance L.P., J.P. Morgan Commodities Research.
Note: Apparent demand is calculated as (Imports-Exports)+Production-Monthly stock changes on the SHFE. Data through May 2026.

- Our consumption-weighted end-use indicator for Chinese copper demand declined sharply in May to now register at -5% yoy YTD through 5M26. Significant weakness was maintained across construction while renewable installations faced a final month in May of an extremely elevated base level last year given the rush to install capacity before June 2025 when the tariff rate for wind and solar installations moved off the more advantageous fixed-price tariff system.
- Adding to the outsized yoy weakness in May, grid investment also came in well below a uniquely strong May 2025 base level, likely tied in with the massive renewable rush last year. Nonetheless, YTD grid investment is still around +13% yoy through May and the particularly strong base level effects in renewables and grid will largely fade from June onwards.

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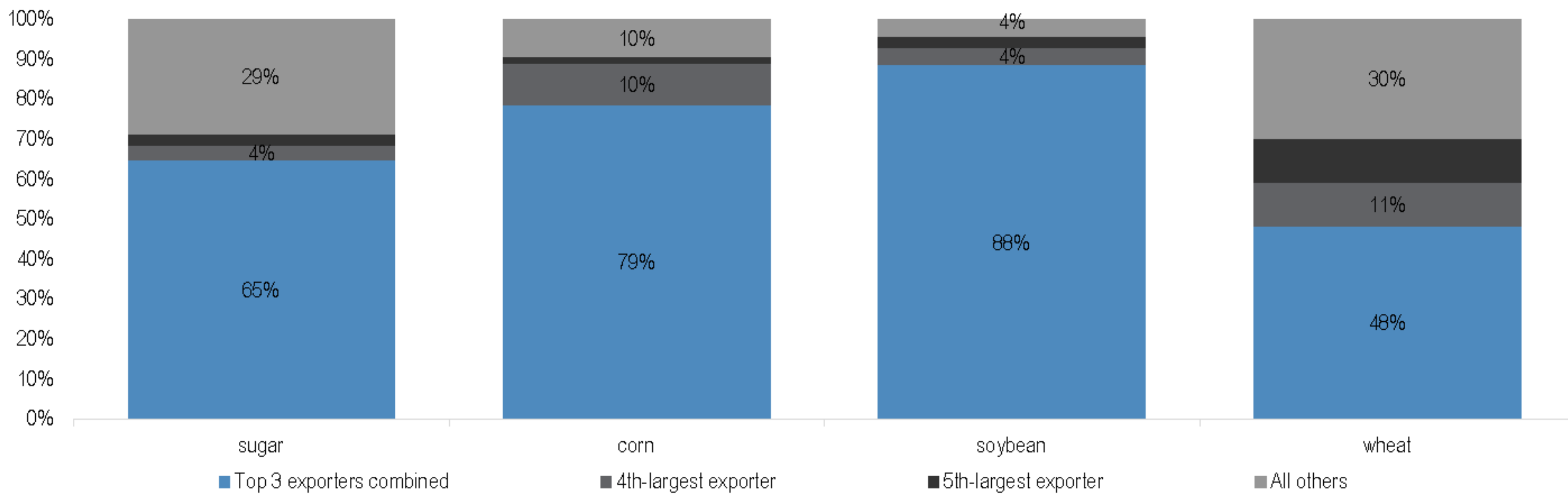
Agriculture: Potential El Niño impact on agricultural markets

Top exporters' share of global exports for key agricultural commodities
%



Source: Green Pool Commodities, USDA, J.P. Morgan Commodities Research. Note: Top 5 exporters of sugar in descending order: Brazil, Thailand, India, Australia, EU; Top 5 exporters of corn in descending order: US, Brazil, Argentina, Ukraine, Russia. Top 5 exporters of soybean in descending order: Brazil, US, Argentina, Paraguay, Canada; Top 5 exporters of wheat in descending order: Russia, EU, Canada, Australia, US.

- NOAA’s latest ENSO Advisory highlights continuing El Niño conditions and expects it to strengthen through the end of the year, with a 97% chance of it persisting through early spring in 2027. NOAA also highlights a 81% chance of a very strong El Niño during October-December, potentially the largest El Niño event since 1950. Impacts from such weather events on agricultural markets stem from shifts in global rainfall patterns, which can affect planting windows, crop development, and harvest quality, ultimately reshaping yield expectations and export availability.
- Amongst major agricultural commodities, sugar is particularly exposed to El Niño because its key supply regions—India, Thailand, and Centre-South Brazil (together account for roughly 65% of global exports)—face weather risks simultaneously but through different channels. Corn, wheat and soy are also potentially affected, however the impact is more mixed. While El Niño can reduce yields through droughts in Asia/Australia and excessive rain in parts of the Latin America, US yields could potentially benefit from cooler and wetter late-summer conditions.

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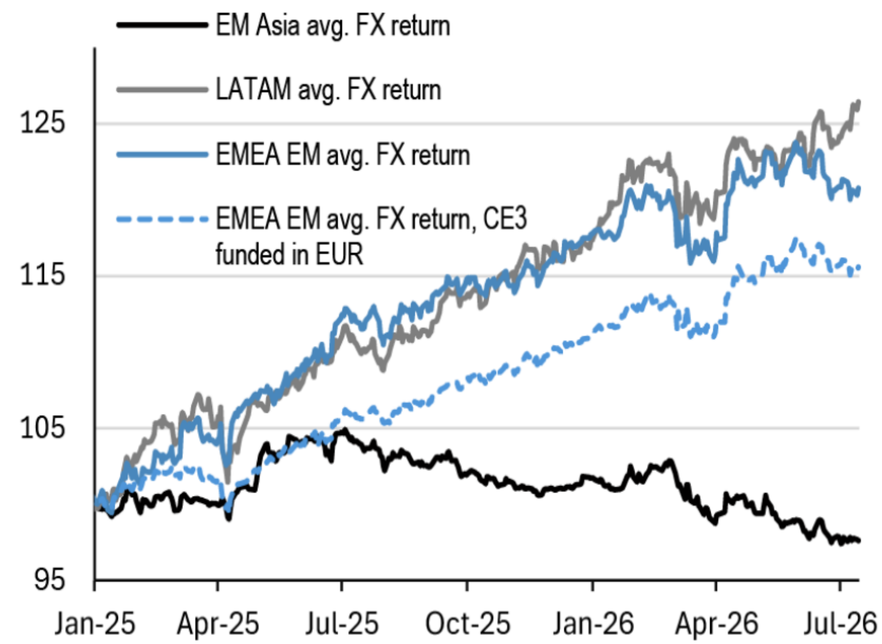
Agenda

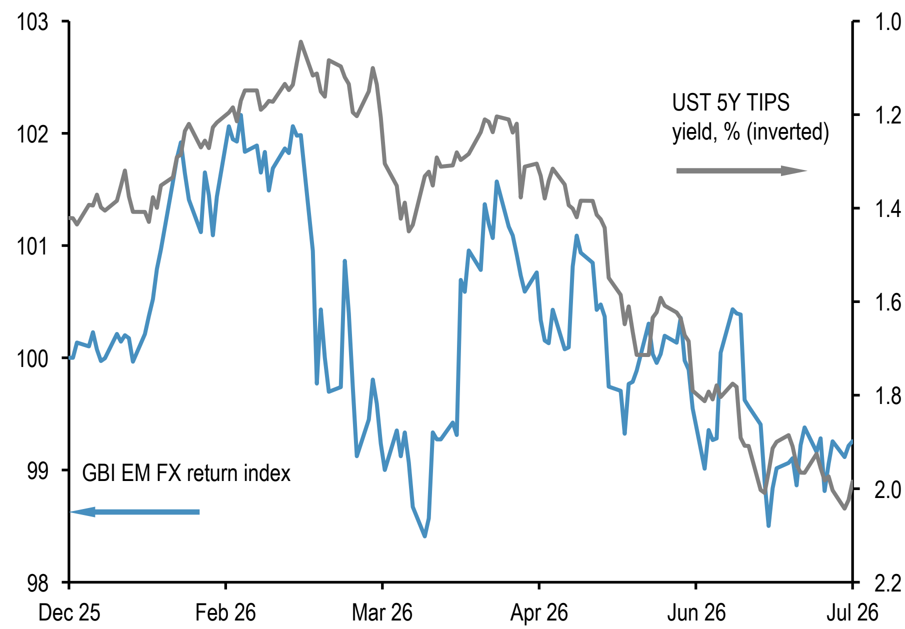
We remain OW EM FX with a focus on carry and/or hawkish central banks in EMEA EM and Latam vs. UW in EM Asia

EMEA EM performance has recently alligned closer to EM Asia, while Latam has outperformed in part thanks to strong COP returns



Source: J.P. Morgan, Bloomberg Finance L.P.

The rise in US real yields has weighed on EM FX

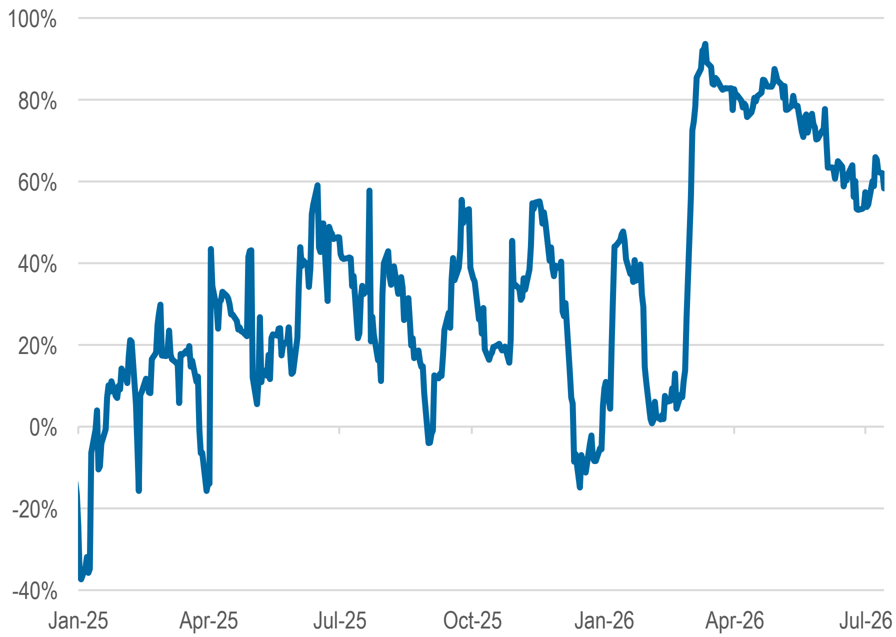


Source: J.P. Morgan, Bloomberg Finance L.P.

- The two key risks, Fed outlook and energy prices, have kept a lid on EM FX since our mid-year outlook, with GBI-EM FX delivering -0.3% in spot terms and 1% in total return terms.
- **Our own portfolio continues to exploit that long high carry vs. short low carry currencies tends to be a robust strategy for a moderately inflationary, hawkish monetary environment. Interestingly, in the latest performance, EMEA EM has started to lag on Latam with performance somewhat closer aligned with EM Asia.**
- **We recently closed OW CLP and ZAR. Regionally, this now leaves us OW Latam, MW EMEA EM and UW EM Asia, with the combined changes reducing our overall GBI-EM FX OW by half.**

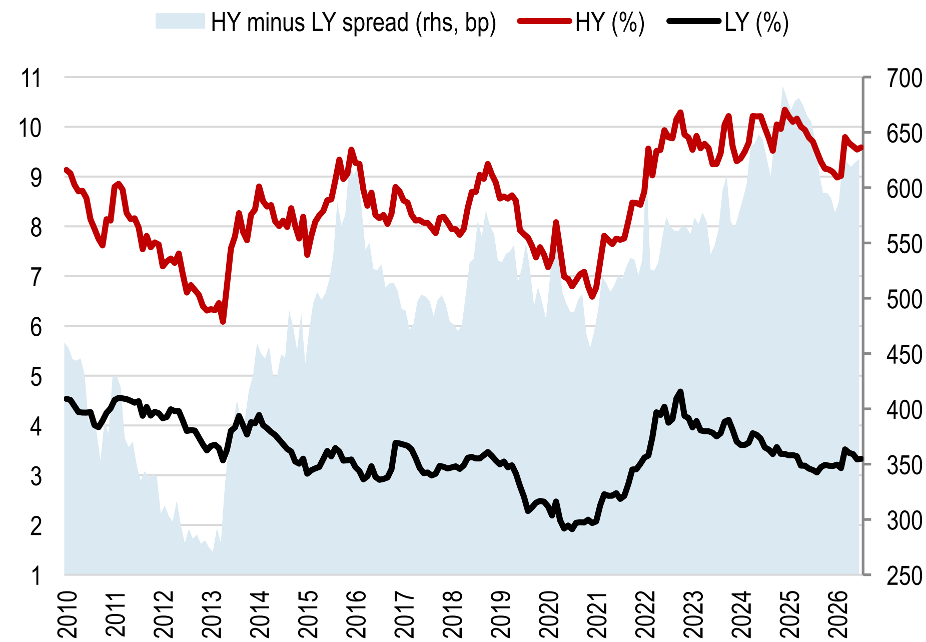
Multiple cross-currents for EM rates make it hard to take strong directional views. Stay MW EM Rates in the GBI-EM Model Portfolio, but position for HY-LY compression

21d rolling correlation of GBI-EM yields to 1m fwd oil prices (using daily changes)



Source: J.P. Morgan, Bloomberg Finance L.P.

GBI-EM GD weighted high-yield (HY) and low-yield (LY) yields



Source: J.P. Morgan.

- With EM rates correlations to oil prices still high and positive (albeit off the peak), this makes it hard to be too directional. The risks of a hawkish Fed/extended Fed hiking cycle are a potentially large headwind for EM rates into the next FOMC meeting. EM macro cross-currents of strong growth, sticky core inflation but downside headline inflation surprises and ongoing FX strength call for mixed EM central bank outlooks, and therefore mixed country-level rates stances.
- We still see the macro environment for EM rates as procyclical, but now with lower medium-term energy risks. This argues for a softer EM reflation view (we have taken profit on remaining linker expressions in Mexico).
- Instead, we see the best trade as positioning for HY-LY EM rates spread compression (a pro-carry stance), following the widening of the GBI-EM weighted spread since the start of the conflict**. At the top-down level, we are OW Hungary, Colombia and Mexico, funded with UWs in Thailand, Peru and Chile.**

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GBI-EM Model Portfolio: We remain OW EM FX and MW EM rates

GBI-EM Model Portfolio and YTD performance

GBI-EM Model Portfolio and YTD Performance

Portfolio Attribution YTD (bp)	Bonds	FX	Total
Country positions	+16	+25	**+41**
Overlay contribution	+6	-3	**+3**
Final portfolio	**+21**	**+22**	**+44**

Portfolio Positions	Bond CTD	Bond Weight	FX Weight
Country positions	0.025	1.59%	1.50%
Overlay position	-0.025	-1.09%	-
Final portfolio	**0.000**	**0.50%**	**1.50%**

Annualized TEV (bp)	**+55**	Annualized vol of final portfolio active positions (inc. overlays)
1-month VaR (bp)	-28	Portfolio excess return at the 5th percentile over 1-month period. Historical VaR is -30bp

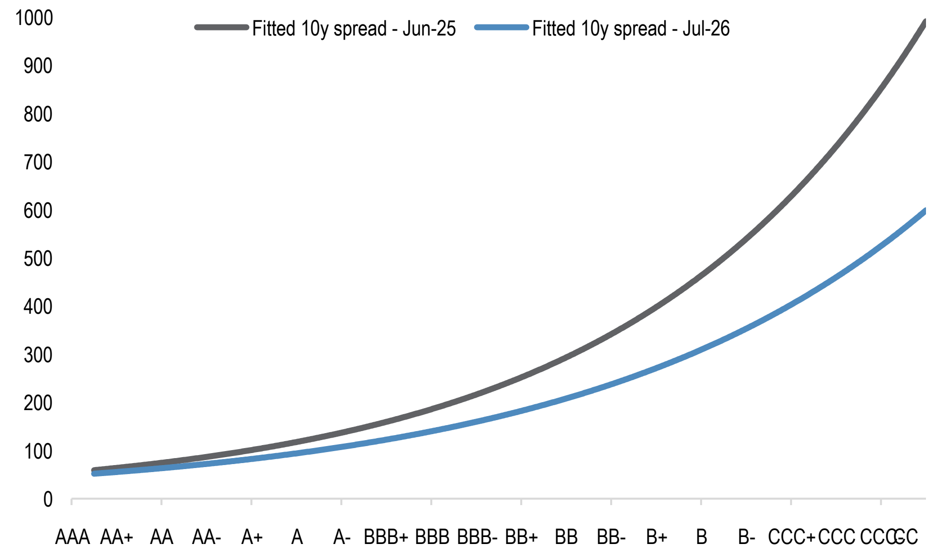
	Final positions		*Country positions*			*YTD excess returns (country positions, bp)*		
	Bond View	FX View	Bond CTD	Bond Weight	FX Weight	Bonds	FX	Total
GBI-EM	MW	OW	0.025	+1.59%	+1.50%	+16	+25	+41
EM Asia	UW	UW	(0.100)	-1.65%	-1.00%	-2	+3	+2
EMEA EM	OW	MW	0.100	+2.21%	+0.25%	+21	+12	+33
Latin America	MW	OW	0.025	+1.46%	+2.25%	-3	+10	+7
China	MW	MW	-	-	-	-	-	-
India	MW	MW	-	-	-	-	+0	+0
Indonesia	MW	MW	-	-	-	-	-	-
Malaysia*	MW	MW	-	-	-	-	-1	-1
Thailand	UW	UW	(0.100)	-1.65%	-1.00%	-2	+4	+3
Czech Republic	MW	OW	-	-	+0.75%	-	+1	+1
Hungary	OW	OW	0.100	+2.21%	+1.00%	+17	+12	+29
Poland	MW	MW	-	-	-	-4	-8	-12
Romania	MW	MW	-	-	-	+7	-0	+7
Turkey	MW	MW	-	-	-	-	+5	+5
Serbia	MW	UW	-	-	-1.50%	-	+1	+1
South Africa	MW	MW	-	-	-	+1	+0	+2
Brazil	MW	MW	-	-	-	-12	-1	-12
Chile	UW	MW	(0.075)	-1.48%	-	+1	-0	+1
Colombia	OW	OW	0.100	+2.38%	+1.00%	+3	+0	+3
Dominican Republic	MW	MW	-	-	-	+4	+6	+10
Mexico	OW	OW	0.100	+2.07%	+1.00%	+0	+5	+5
Peru	UW	MW	(0.125)	-1.94%	-	-1	-1	-2
Uruguay	MW	MW	-	-	-	-	-	-
Paraguay	OW	OW	0.025	+0.43%	+0.25%	+1	+0	+1

*FX carry returns calculated using T-Bills (up to 3m)

Source: J.P. Morgan; YTD statistics as of 27-Jul-26 COB. *FX returns calculated using Malaysia T-bills (up to 3m).

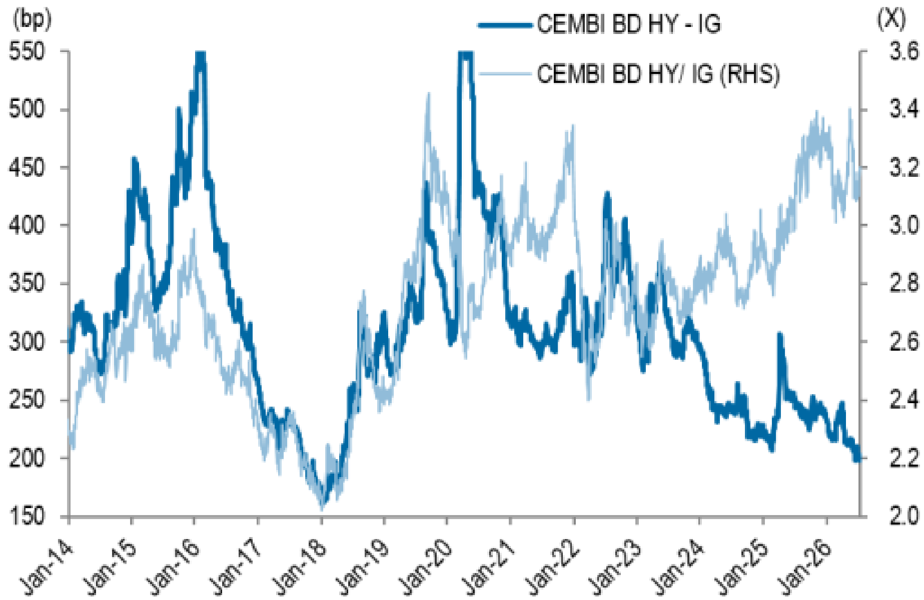
We stay MW overall the EMBIGD in our model portfolio, but we are increasingly looking to surf idiosyncratic stories even where mispricing is minimal given overall tight spread levels

Fitted 10y spreads of EM sovereigns vs credit rating in June 2025 and July 2026



Source: J.P. Morgan. Note: For calculating fitted10y spread vs credit rating, we use the same methodology as in Spread vs Ratings report.

CEMBI BD HY-IG spread basis and multiple



Source: J.P. Morgan.

- The EM IG vs HY spread compression opportunities have largely played out with the spread pick up on moving lower in the credit rating bucket now much narrower than 1y back. That said, we do have more HY OWs and IG UWs, reflecting a spread compression bias, but more selectivity. **Our HY idiosyncratic OWs are mostly in the Latam space (Argentina and Ecuador), while we play more relative value elsewhere.**
- **We are OW Colombia vs UW Brazil, OW Egypt vs UW Nigeria, OW KSA vs UW Oman. We remain OW South Africa and UW Indonesia, Poland and Uruguay. We now also move UW Armenia on tight valuations in the Model Portfolio.**
- Amidst the compression in overall spreads, the basis between CEMBI HY-IG also tightened to about 200bp but is still well off the 150bp level reached in early 2018. Moreover, the HY/IG multiple at above 3x is at the higher end of the historical range. **We find that the headline spread differential suggests HY valuations are not that demanding from a relative standpoint, and we have been OW BBB and BB within our CEMBI segment recommendations.**

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EMBIGD Model Portfolio: Remain MW - Valuations not exciting, but spread widening risks not troubling

Portfolio Returns YTD		*Portfolio Attribution YTD*	
Benchmark return	1.7%	Market position return (bp):	4
Portfolio return	2.1%	Credit selection return (bp):	36
Portfolio Performance (bp)	40	Portfolio Outperformance (bp):	40
Portfolio return -12 months-	9.5%		
Benchmark return -12 months-	8.5%		

		As of July 31, 2026			Since Initiation		YTD Changes & Returns				
Credit selection returns	View	Current Position	Spread	Duration	Initiation Date	Spread Chg vs EMBIG (bp)	Spread Chg (bp)	Spread Chg vs EMBIG (bp)	Spread Returns (bp)	Carry Returns (bp)	Credit Returns (bp)
Argentina	OW	1.0%	434	4.5	3-Oct-24	(718)	(127)	(118)	4	2	6
Colombia	OW	1.0%	195	6.1	8-Jun-26	(11)	(2)	(11)	0	(0)	0
Ecuador	OW	1.0%	436	5.7	25-Nov-25	(128)	(56)	(47)	5	2	6
Egypt	OW	1.0%	350	6.0	8-Apr-26	(44)	(62)	(44)	3	0	3
Saudi Arabia	OW	1.0%	95	6.1	8-May-26	2	9	2	(1)	(0)	(1)
South Africa	OW	1.0%	200	7.8	28-May-26	(11)	(4)	(11)	0	(0)	0
Brazil	UW	-0.5%	177	6.7	8-Jun-26	(5)	5	(5)	1	0	1
Indonesia	UW	-0.5%	88	7.0	29-Oct-24	115	28	37	5	1	7
Nigeria	UW	-1.0%	255	5.7	28-May-26	(22)	(15)	(22)	(1)	(0)	(1)
Oman	UW	-1.0%	96	5.5	8-May-26	3	10	3	1	0	1
Paraguay	UW	-0.5%	106	8.8	22-Jul-26	(1)	6	(1)	0	0	0
Poland	UW	-1.3%	88	7.4	8-Apr-26	18	0	18	3	1	3
Republic of Armenia	UW	-0.2%	136	4.7	16-Jul-26	(13)	(8)	(13)	(0)	0	(0)
Uruguay	UW	-1.0%	68	8.8	18-Feb-26	(6)	(4)	(6)	0	1	1
Closed position return (bp):		8.7					Current Credit selection return(bp)				27

Source: J.P. Morgan

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Agenda

Global economic outlook summary

	Real GDP % over a year ago			Real GDP % over previous period, saar						Consumer prices % over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	**2.0** ↓	2.0	2.1	**1.5** ↓	1.8	1.8	2.3	2.3	2.7	3.8	3.6	1.9
Canada	1.9	0.6	1.6	-0.1	2.0	1.4	1.4	1.7	1.7	2.2	3.0	2.7	1.6
Latin America	2.1	1.9	1.8	1.6	**2.9** ↓	1.7	1.6	2.2	1.3	3.9	4.3	4.4	3.8
Argentina	4.4	2.7	3.0	3.0	-1.5	3.8	4.5	4.0	2.0	31.8	32.8	29.4	20.5
Brazil	2.3	2.0	1.3	4.5	2.0	1.2	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	1.0	3.2	-1.1	1.0	5.0	3.5	2.5	3.0	3.4	4.0	3.8	3.4
Colombia	2.6	2.6	1.5	2.4	2.5	1.5	0.5	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	0.3	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	1.4	1.7	-2.4	**6.1** ↓	0.7	1.0	1.2	1.5	3.7	3.9	3.7	3.5
Peru	3.4	3.0	2.9	2.4	2.5	4.0	2.5	3.5	2.7	1.4	4.0	4.1	3.2
Uruguay	1.8	1.1	1.4	3.2	0.4	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.2	3.9	5.6	**2.8** ↑	3.7	4.1	4.1	4.1	1.2	2.0	2.3	2.0
Japan	1.1	0.8	1.0	1.8	1.3	1.0	1.3	1.0	0.7	2.7	1.5	2.9	3.5
Australia	2.0	2.0	1.8	1.1	1.6	1.5	1.9	1.5	1.7	3.6	**3.9** ↓	**3.9** ↓	3.6
New Zealand	0.2	2.1	2.3	3.2	1.2	3.4	1.2	4.0	1.0	3.1	3.8	3.7	2.4
EM Asia	5.2	4.9	4.4	6.5	**3.1** ↑	4.2	4.7	4.6	4.7	0.9	1.9	2.1	1.7
China	5.0	4.6	4.3	6.3	2.4	4.3	4.9	4.5	4.5	0.6	1.1	1.0	0.7
India	7.7	6.5	6.3	8.0	5.1	5.0	6.2	6.3	6.7	0.8	4.1	5.6	5.5
Ex China/India	4.0	4.8	3.8	6.1	**4.0** ↑	3.4	3.2	4.1	4.1	1.8	**2.9** ↑	3.2	2.2
Hong Kong	3.6	3.4	2.9	**12.1** ↓	**-2.4** ↓	2.8	2.8	3.0	2.8	1.3	**1.9** ↑	1.7	1.6
Indonesia	5.1	4.7	4.9	5.7	3.6	3.0	2.6	6.2	6.1	2.8	2.9	3.5	2.6
Korea	1.1	3.8	3.3	7.5	2.5	4.0	3.0	3.5	3.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.3	4.5	1.7	8.5	5.0	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	4.0	5.6	3.8	4.9	5.7	8.2	4.1	5.5	1.7	6.8	6.5	3.8
Singapore	5.0	4.6	2.5	5.3	4.6	1.0	1.0	3.0	3.0	1.2	1.7	2.4	1.9
Taiwan	8.8	9.9	3.7	6.9	**9.9** ↑	3.2	3.2	4.0	4.0	1.3	**2.2** ↑	2.2	1.7
Thailand	2.4	2.8	2.5	2.7	0.8	2.8	2.8	2.8	2.4	-0.5	2.7	3.1	0.6
Western Europe	**1.3** ↓	**1.0** ↑	1.4	**0.4** ↑	**1.9** ↑	1.0	1.4	1.5	1.5	2.3	2.9	**3.0** ↑	2.1
Euro area	**1.3** ↓	**0.8** ↑	1.4	**0.0** ↑	**1.8** ↑	1.0	1.5	1.5	1.5	2.1	3.0	**3.1** ↑	2.0
Germany	0.3	1.0	**1.5** ↓	**1.7** ↑	**0.9** ↓	1.3	1.8	1.8	1.8	2.3	2.6	**2.5** ↑	**1.9** ↓
France	0.9	**0.5** ↓	1.0	**-0.6** ↓	**0.0** ↓	0.5	1.3	1.3	1.0	0.8	2.4	**2.9** ↑	**1.8** ↑
Italy	0.7	**0.9** ↑	0.6	**1.3** ↑	**0.8** ↑	0.5	0.8	0.8	0.5	1.2	3.0	**3.9** ↑	**1.8** ↓
Spain	2.8	**2.6** ↑	**1.9** ↑	2.5	**2.9** ↑	2.0	2.0	1.8	1.8	3.1	3.6	**3.3** ↓	**2.4** ↓
Norway	1.7	1.0	1.6	0.6	1.4	1.8	1.8	1.8	1.5	3.1	3.1	3.1	2.5
Sweden	1.7	**2.6** ↑	**2.2** ↑	-0.6	**7.1** ↑	2.0	2.3	2.0	1.8	0.5	**0.5** ↑	0.9	1.8
United Kingdom	1.3	1.2	1.2	2.5	1.5	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.1	**1.9** ↑	2.8	-0.6	**3.5** ↑	**3.0** ↓	**2.9** ↓	**2.7** ↑	2.4	10.6	10.4	**9.9** ↑	8.5
Czech Republic	2.5	**2.1** ↓	**2.2** ↓	0.8	**1.5** ↓	**2.3** ↓	2.5	2.1	2.1	2.2	2.0	1.9	1.9
Hungary	0.4	**2.1** ↓	**2.9** ↓	3.2	**1.6** ↓	**3.0** ↑	2.8	3.0	3.3	3.8	1.9	**2.2** ↑	**3.1** ↑
Israel	2.9	3.6	4.2	-3.8	10.5	5.5	3.8	3.5	3.5	2.5	1.8	**1.9** ↑	**1.7** ↑
Poland	3.6	3.4	2.9	2.4	4.3	3.3	3.0	2.8	2.5	2.6	2.9	3.2	3.3
Romania	0.7	0.0	3.0	0.0	3.4	3.6	3.2	2.8	2.4	9.7	10.7	5.4	4.3
Russia	1.0	**0.5** ↑	1.6	-3.1	**2.3** ↑	**1.0** ↓	**2.0** ↓	**1.5** ↑	1.5	6.6	5.6	**6.6** ↑	**6.2** ↑
South Africa	1.1	1.1	1.4	2.2	0.0	1.5	1.2	1.6	1.6	3.6	4.5	4.4	3.1
Türkiye	3.6	3.0	4.6	0.5	4.0	5.5	4.6	4.5	3.5	31.6	32.4	**29.6** ↑	**24.0** ↓
Global	2.8	2.5	2.5	**2.7** ↑	**2.3** ↑	2.3	2.6	2.7	2.7	2.7	3.4	3.4	2.5
Developed markets	**1.7** ↓	**1.5** ↑	1.7	**1.4** ↑	1.6	1.4	1.6	1.9	1.8	2.6	3.3	3.3	**2.1** ↓
Emerging markets	4.2	4.0	3.8	4.7	3.1	3.7	4.0	4.0	3.9	2.8	3.5	3.6	3.0
Emerging ex China	3.6	3.5	3.4	3.4	**3.7** ↑	3.1	**3.2** ↓	**3.6** ↑	3.4	4.7	5.6	5.8	5.0
Global — PPP weighted	3.3	**3.0** ↑	3.0	**3.2** ↑	**2.6** ↑	2.6	3.0	3.1	3.0	2.9	3.7	3.8	3.0

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of *Global Data Watch*, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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Global Central Bank Watch

	Official rate	Current rate (%pa)	4-qrtr change (bp) Last	Next	Last change	Next mtg	Forecast next change	Forecast (%pa) Sep 26	Dec 26	Mar 27	Jun 27	Sep 27
Global		3.97	-43	-9				4.00	4.04	4.01	3.97	3.87
excluding US		4.06	-26	-24				4.11	4.06	4.01	3.96	3.82
Developed		3.08	-34	16				3.16	3.32	3.32	3.32	3.24
Emerging		5.27	-56	-46				5.25	5.12	5.02	4.94	4.81
Latin America		10.02	-67	-58				9.81	9.82	9.85	9.67	9.44
EMEA EM		14.68	-292	-230				14.57	13.88	13.19	12.71	12.38
EM Asia		2.34	-3	-3				2.38	2.34	2.36	2.38	2.31
The Americas		4.53	-72	12				4.50	4.70	4.70	4.68	4.65
United States	Fed funds	3.75	-75	25	10 Dec 25 (-25bp)	16 Sep 26	**Dec 26 (+25bp)**	3.75	**4.00**	**4.00**	**4.00**	4.00
Canada	O/N rate	2.25	-50	0	29 Oct 25 (-25bp)	2 Sep 26	On hold	2.25	2.25	2.25	2.25	2.25
Brazil	SELIC O/N	14.25	-75	-150	17 Jun 26 (-25bp)	5 Aug 26	Aug 26 (-25bp)	13.75	13.75	13.75	13.25	12.75
Mexico	Repo rate	6.50	-150	0	7 May 26 (-25bp)	6 Aug 26	On hold	6.50	6.50	6.50	6.50	6.50
Chile	Disc rate	4.50	-25	75	16 Dec 25 (-25bp)	8 Sep 26	1Q27 (+25bp)	4.50	4.50	4.75	5.00	5.25
Colombia	Repo rate	12.00	275	-50	30 Jun 26 (+75bp)	30 Sep 26	**Jun 27 (-25bp)**	**12.00**	**12.00**	**12.00**	**12.00**	**11.50**
Peru	Reference	4.25	-25	100	11 Sep 25 (-25bp)	13 Aug 26	7 Oct 26 (+25bp)	4.25	4.50	4.75	5.00	5.25
Europe/Africa		5.33	-56	-52				5.46	5.34	5.18	5.03	4.81
Euro area	Depo rate	2.25	25	0	11 Jun 26 (+25bp)	10 Sep 26	Sep 26 (+25bp)	2.50	2.50	2.50	2.50	2.25
United Kingdom	Bank rate	3.75	-25	0	18 Dec 25 (-25bp)	17 Sep 26	Nov 26 (+25bp)	3.75	4.00	4.00	3.75	3.75
Norway	Dep rate	4.25	0	0	7 May 26 (+25bp)	13 Aug 26	Sep 26 (+25bp)	4.50	4.50	4.50	4.25	4.25
Sweden	Repo rate	1.75	-25	25	23 Sep 25 (-25bp)	20 Aug 26	Dec 26 (+25bp)	1.75	2.00	2.00	2.00	2.00
Czech Republic	2-wk repo	3.75	25	25	18 Jun 26 (+25bp)	6 Aug 26	**Nov 26 (+25bp)**	**3.75**	4.00	4.00	4.00	4.00
Hungary	Base rate	5.75	-75	-100	21 Jul 26 (-25bp)	25 Aug 26	**Aug 26 (-25bp)**	5.25	5.00	4.75	4.75	4.75
Israel	Base rate	3.50	-100	-50	6 Jul 26 (-25bp)	1 Sep 26	Sep 26 (-25bp)	3.25	3.00	3.00	3.00	3.00
Poland	7-day interv	3.75	-125	0	4 Mar 26 (-25bp)	2 Sep 26	On hold	3.75	3.75	3.75	3.75	3.75
Romania	Base rate	6.50	0	-50	7 Aug 24 (-25bp)	10 Aug 26	May 27 (-25bp)	6.50	6.50	6.50	6.25	6.00
Russia	Key pol rate	14.00	-400	-275	24 Jul 26 (-25bp)	11 Sep 26	**Sep 26 (-25bp)**	13.75	13.00	12.25	11.50	11.25
South Africa	Repo rate	7.00	0	0	28 May 26 (+25bp)	23 Sep 26	Sep 26 (+25bp)	7.25	7.25	7.25	7.25	7.00
Türkiye	1-wk repo	37.00	-600	-600	22 Jan 26 (-100bp)	10 Sep 26	22 Oct 26 (-100bp)	37.00	35.00	33.00	32.00	31.00
Asia/Pacific		2.29	6	2				2.32	2.32	2.34	2.38	2.32
Australia	Cash rate	4.35	50	-25	5 May 26 (+25bp)	11 Aug 26	Aug '27 (-25bp)	4.35	4.35	4.35	4.35	4.10
New Zealand	Cash rate	2.50	-75	75	8 Jul 26 (+25bp)	2 Sep 26	Sep 26 (+25bp)	2.75	3.00	3.25	3.25	3.25
Japan	O/N call rate	1.00	52	50	16 Jun 26 (+25bp)	18 Sep 26	Oct 26 (+25bp)	1.00	1.25	1.25	1.50	1.50
Hong Kong	Disc. wndw	4.00	-75	25	10 Dec 25 (-25bp)	-	**Dec 26 (+25bp)**	4.00	**4.25**	**4.25**	**4.25**	4.25
China	7-day rev repo	1.40	0	-20	7 May 25 (-10bp)	-	4Q 26 (-10bp)	1.40	1.30	1.30	1.30	1.20
Korea	Base rate	2.75	25	100	16 Jul 26 (+25bp)	27 Aug 26	Aug 26 (+25bp)	3.00	3.25	3.50	3.75	3.75
Indonesia	BI RRR	5.75	50	25	18 Jun 26 (+25bp)	19 Aug 26	Sep-26 (+25bp)	6.00	6.00	6.00	6.00	6.00
India	Repo rate[2]	5.25	-25	0	5 Dec 25 (-25bp)	5 Aug 26	On hold	5.25	5.25	5.25	5.25	5.25
Malaysia	O/N rate	2.75	0	25	9 Jul 25 (-25bp)	3 Sep 26	Nov 26 (+25bp)	2.75	3.00	3.00	3.00	3.00
Philippines	Rev repo	4.75	-50	75	18 Jun 26 (+25bp)	27 Aug 26	Aug 26 (+25bp)	5.00	5.50	5.50	5.50	5.50
Thailand	1-day repo	1.00	-75	0	25 Feb 26 (-25bp)	26 Aug 26	On hold	1.00	1.00	1.00	1.00	1.00
Taiwan	Official disc.	2.00	0	0	21 Mar 24 (+12.5bp)	17 Sep 26	On hold	2.00	2.00	2.00	2.00	2.00

Source: J.P. Morgan.

Bold denotes move since last GDW and forecast changes. Underline denotes policy meeting during upcoming week. Aggregates are GDP-weighted averages.

Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

US & International Rates forecast

		31-Jul	Sep-26	Dec-26	Mar-27	Jun-27	YTD chg. (bp)
US	Fed funds	3.50-3.75	3.50-3.75	3.75-4.00	3.75-4.00	3.75-4.00	-
	SOFR	3.65	3.65	3.90	3.90	3.90	-
	2Y bmk yield	4.26	4.25	4.30	4.30	4.30	81
	5Y bmk yield	4.40	4.45	4.45	4.45	4.45	72
	10Y bmk yield	4.68	4.80	4.85	4.85	4.85	55
	30Y bmk yield	5.22	5.35	5.40	5.40	5.40	40
	2s/10s bmk curve	42	55	55	55	55	-26
	10s/30s bmk curve	54	55	55	55	55	-15
	2s/30s bmk curve	95	110	110	110	110	-41
Euro area	Refi rate	2.40	2.65	2.65	2.65	2.65	-
	Depo rate	2.25	2.50	2.50	2.50	2.50	-
	3M Euribor	2.48	2.50	2.50	2.50	2.50	47
	2Y bmk yield	2.81	2.60	2.55	2.45	2.40	69
	5Y bmk yield	2.92	2.70	2.65	2.60	2.55	47
	10Y bmk yield	3.18	2.95	2.90	2.85	2.80	32
	30Y bmk yield	3.67	3.45	3.45	3.40	3.35	19
	2s/10s bmk curve	37	35	35	40	40	-37
	10s/30s bmk curve	49	50	55	55	55	-13
	2s/30s bmk curve	86	85	90	95	95	-50
vs. 6s	2Y swap spread	20	20	19	18	17	6
	5Y swap spread	14	12	13	13	14	4
	10Y swap spread	3	2	4	6	7	-2
	30Y swap spread	-37	-34	-31	-29	-26	-15
10Y spread	Austria	22	28	28	28	28	-5
to Germany	Belgium	54	55	58	60	55	4
(curve adj.)	Finland	32	33	33	33	33	2
	France	79	75	80	85	75	10
	Greece	70	70	70	70	70	10
	Ireland	16	15	15	15	15	-4
	Italy	81	85	85	80	80	15
	Netherlands	9	10	10	10	10	-3
	Portugal	34	38	38	38	38	4
	Spain	44	45	45	45	45	3
	EU	40	38	35	35	35	7

		31-Jul	Sep-26	Dec-26	Mar-27	Jun-27	YTD chg. (bp)
UK	Base rate	3.75	3.75	4.00	4.00	3.75	-
	2Y bmk yield	4.37	4.25	4.20	4.15	4.10	66
	5Y bmk yield	4.56	4.35	4.35	4.35	4.25	69
	10Y bmk yield	5.01	4.80	4.80	4.75	4.70	52
	30Y bmk yield	5.73	5.45	5.45	5.45	5.40	51
	2s/10s bmk curve	64	55	60	60	60	-14
	10s/30s bmk curve	72	65	65	70	70	-1
	2s/30s bmk curve	136	120	125	130	130	-15
vs. SONIA	2Y swap spread	-15	-10	-12	-15	-17	4
	5Y swap spread	-23	-22	-24	-26	-26	6
	10Y swap spread	-45	-45	-47	-50	-50	8
	30Y swap spread	-72	-70	-68	-65	-65	3
Japan	Policy rate	1.00	1.00	1.25	1.25	1.50	-
	2Y bmk yield	1.50	1.45	1.50	1.50	1.60	33
	5Y bmk yield	2.03	1.95	2.00	2.00	2.05	48
	10Y bmk yield	2.80	2.95	2.95	2.95	3.05	73
	20Y bmk yield	3.68	3.85	3.85	3.85	3.95	70
	30Y bmk yield	3.98	4.10	4.10	4.10	4.10	58
	2s/10s bmk curve	130	150	145	145	145	40
	10s/30s bmk curve	119	115	115	115	105	-15
	2s/30s bmk curve	249	265	260	260	250	25
Australia	Cash rate	4.35	4.35	4.35	4.35	4.35	-
	3Y bmk yield	4.54	4.30	4.10	4.10	4.00	41
	10Y bmk yield	5.01	4.80	4.55	4.65	4.55	27
New Zealand	Cash rate	2.50	2.75	3.00	3.25	3.25	-
	2Y bmk yield	3.72	3.60	3.70	3.70	3.70	72
	10Y bmk yield	4.73	4.50	4.50	4.50	4.50	29
Sweden	Repo rate	1.75	1.75	2.00	2.00	2.00	-
	2-year govt	2.42	2.35	2.35	2.30	2.25	33
	10-year govt	2.99	2.80	2.80	2.75	2.75	18
Norway	Depo rate	4.25	4.50	4.50	4.50	4.25	-
	2-year govt	4.43	4.55	4.45	4.20	4.00	46
	10-year govt	4.38	4.30	4.25	4.10	4.00	22

Source: J.P. Morgan. Levels as of 1pm London time. **Newly issued benchmark change is from inception up to COB

Commodities price forecasts

J. P. Morgan commodities price forecast

Quarterly and annual averages

		1Q26A	2Q26A	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2026	2027
Energy											
WTI Crude	US$/bbl	73	92	81	74	67	63	56	52	80	59
Brent Crude	US$/bbl	78	98	86	80	71	67	60	56	86	63
US Natural Gas (Henry Hub)	US$/MMBtu	4.0	2.9	3.6	4.2	4.0	3.5	3.6	3.9	3.7	3.7
European Natural Gas (TTF)	EUR/MWh	40	46	55	60	60	40	40	45	50	46
UK Natural Gas (NBP)	GBp/Therm	101	112	134	149	149	97	97	112	124	114
Japan Korea Marker (JKM)	US$/MMBtu	13.2	17.6	18.9	20.6	20.6	14.4	14.4	15.6	17.6	16.3
Base Metals											
Aluminum	US$/mt	3,198	3,562	3,800	3,700	3,450	3,200	2,900	2,750	3,565	3,075
Copper	US$/mt	12,824	13,352	14,500	14,800	14,000	13,800	13,800	13,600	13,869	13,800
Nickel	US$/mt	17,338	18,090	17,000	17,250	17,500	18,000	18,000	17,500	17,419	17,750
Zinc	US$/mt	3,237	3,464	3,500	3,400	3,300	3,200	3,050	3,000	3,400	3,138
Precious Metals											
Gold	US$/t oz	4,873	4,508	4,300	4,500	4,600	4,700	4,800	5,000	4,545	4,775
Silver	US$/t oz	83.7	73.1	62.5	63.0	63.0	63.5	64.0	65.0	70.6	63.9
Platinum	US$/t oz	2,204	1,916	1,700	1,800	1,875	1,900	1,950	1,950	1,905	1,919
Palladium	US$/t oz	1,706	1,409	1,300	1,350	1,400	1,350	1,250	1,200	1,441	1,300
Agriculture											
Wheat	USc/bu	556	608	560	580	570	570	560	600	576	575
Corn	USc/bu	438	444	450	470	460	460	450	480	450	463
Soybeans	USc/bu	1,117	1,162	1,050	1,100	1,100	1,130	1,100	1,150	1,107	1,120
Sugar (ICE #11)	Usc/lb	14.6	14.2	15.5	17.0	17.0	16.5	17.0	17.5	15.3	17.0
Cotton (ICE #2)	Usc/lb	64	77	74	75	75	76	76	76	73	76
MDE-Bursa Palm Oil	MYR/tonne	4,173	4,505	4,500	4,500	4,600	4,500	4,600	4,700	4,420	4,600

Source: J.P. Morgan Commodities Research. *1Q26 and 2Q26 are realized.

Global FX forecasts (1 of 2)

Exchange rates vs. U.S dollar

		Current					JPM forecast gain/loss vs June 27*			Actual change in local FX vs USD			
Majors		**24-Jul**	**Sep 26**	**Dec 26**	**Mar 27**	**Jun 27**	**Spot**	**Forwards**	**Consensus****	**Past 1mo**	**Past 3mo**	**YTD**	**Past 12mos**
	EUR	1.14	1.14	1.13	1.12	1.10	-3.3%	-4.6%	-6.8%	-2.3%	-3.0%	-3.2%	-3.2%
	JPY	164	160	164	164	164	-0.1%	-2.9%	-5.5%	-2.8%	-2.7%	-4.3%	-10.3%
	GBP	1.33	1.31	1.28	1.29	1.28	-4.0%	-4.0%	-5.3%	-0.8%	-1.5%	-1.1%	-1.4%
	AUD	0.70	0.70	0.69	0.69	0.69	-1.1%	-0.6%	-4.2%	-2.7%	-2.4%	4.6%	5.9%
	CAD	1.41	1.40	1.41	1.40	1.39	1.4%	-0.2%	-1.4%	-1.9%	-3.0%	-2.6%	-3.2%
	NZD	0.58	0.60	0.60	0.60	0.60	3.7%	2.9%	0.0%	-3.2%	-1.6%	0.5%	-4.1%
JPM USD index		108.5	107.9 ↑	108.5 ↑	108.9 ↑	109.6 ↑	1.0%	1.7%	2.8%	1.3%	1.4%	0.7%	0.7%
DXY		101.4	100.9	102.2	102.7	104.0	2.5%	-3.9%	6.0%	2.4%	2.9%	3.1%	4.2%
Europe, Middle East & Africa													
	CHF	0.82	0.81	0.81	0.82	0.84	-2.2%	-5.9%	-4.8%	-4.4%	-4.0%	-3.1%	-2.8%
	ILS	3.05	3.00 ↓	2.95 ↓	2.90 ↓	2.90 ↓	5.3%	3.7%	1.0%	-8.2%	-2.2%	4.3%	9.6%
	SEK	9.73	9.47	9.56	9.73	9.91	-1.9%	-3.6%	-8.9%	-4.9%	-5.2%	-5.3%	-1.9%
	NOK	9.59	9.56	9.56	9.55	9.73	-1.4%	-1.0%	-4.3%	-3.5%	-2.8%	5.2%	5.6%
	CZK	21.22	21.05	20.97	20.98	21.27	-0.2%	-0.6%	-4.0%	-1.8%	-2.2%	-3.0%	-1.6%
	PLN	3.80	3.68	3.72	3.66	3.73	1.8%	1.7%	-3.4%	-4.4%	-4.6%	-5.4%	-4.6%
	HUF	318	298	301	299	305	4.3%	5.3%	-2.3%	-4.2%	-1.9%	3.1%	6.4%
	TRY	47.35	49.00	51.40	53.70	56.11	-15.6%	12.8%	-3.3%	-3.1%	-4.9%	-9.3%	-14.0%
	ZAR	16.85	16.25	16.00	15.90	15.75	7.0%	9.8%	2.0%	-3.7%	-2.0%	-1.7%	4.7%
Americas	**ARS**	1493	1500	1550	1600	1650	-9.5%	10.4%	1.5%	-5.6%	-6.3%	-2.8%	-14.7%
	BRL	5.07	5.15	5.20	5.15	5.15	-1.5%	6.0%	1.6%	-0.4%	-1.8%	7.9%	8.8%
	CLP	947	875	870	865	860	10.1%	9.7%	1.7%	-6.1%	-5.4%	-4.9%	0.3%
	COP	3211	3450	3500	3550	3550	-9.5%	-1.8%	0.0%	13.4%	10.7%	17.6%	26.8%
	MXN	17.49	17.35	17.30	17.30	17.30	1.1%	3.9%	2.9%	-0.9%	-0.6%	3.0%	6.0%
	PEN	3.41	3.45	3.40	3.35	3.35	1.8%	3.1%	-0.9%	0.1%	2.3%	-1.4%	3.9%

Source: J.P. Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates.

** Bloomberg FX Consensus Forecasts compares 4Q'26

Global FX forecasts (2 of 2)

Exchange rates vs. U.S dollar

		Current					JPM forecast gain/loss vs June 27*			Actual change in local FX vs USD			
Majors		**24-Jul**	**Sep 26**	**Dec 26**	**Mar 27**	**Jun 27**	**Spot**	**Forwards**	**Consensus****	**Past 1mo**	**Past 3mo**	**YTD**	**Past 12mos**
Asia	**CNY**	6.77	6.70	6.70	6.75	6.80	-0.4%	-2.8%	-1.5%	-0.1%	0.9%	3.2%	5.6%
	HKD	7.84	7.84	7.84	7.85	7.85	-0.1%	-1.0%	-0.6%	-0.1%	-0.1%	-0.8%	0.1%
	IDR	17943	18300	18500	18600	18700	-4.0%	-1.6%	-5.3%	-0.4%	-4.1%	-7.0%	-9.2%
	INR	96.57	95.50	96.00	97.00	98.00	-1.5%	1.6%	-2.2%	-1.6%	-2.4%	-6.9%	-10.5%
	KRW	1462	1540	1560	1580	1585	-7.8%	-8.4%	-7.3%	3.1%	1.0%	-1.5%	-6.2%
	MYR	4.09	4.00	4.00	4.05	4.10	-0.2%	-1.0%	-2.4%	-3.1%	-3.1%	-0.7%	3.1%
	PHP	61.85	62.50	63.00	64.50	65.00	-4.8%	-3.4%	-6.0%	-0.4%	-1.8%	-4.9%	-8.4%
	SGD	1.29	1.28	1.28	1.28	1.28	0.9%	-1.6%	-0.8%	-1.1%	-1.2%	-0.4%	-1.1%
	TWD	32.38	31.70	31.90	31.90	31.90	1.5%	1.8%	-2.8%	-3.1%	-2.7%	-3.0%	-9.2%
	THB	33.68	34.50 ↓	35.00 ↓	35.20 ↓	35.50 ↓	-5.1%	-6.7%	-7.0%	-3.4%	-3.7%	-6.5%	-4.2%
EMCI		46.4	45.5	45.3	45.2	44.9	-3.3%	2.0%	-2.5%	-1.8%	-1.8%	0.0%	1.0%
Exchange rates vs Euro										**Actual change in local FX vs EUR**			
	JPY	186	182	185	184	180	3.3%	1.8%	1.4%	-0.4%	0.3%	-1.2%	-7.3%
	GBP	0.85	0.87	0.88	0.87	0.86	-0.8%	0.7%	1.6%	1.6%	1.5%	2.1%	1.9%
	CHF	0.93	0.92	0.92	0.92	0.92	1.1%	-1.3%	2.2%	-2.1%	-1.1%	0.1%	0.5%
	SEK	11.06	10.80	10.80	10.90	10.90	1.5%	1.1%	-2.3%	-2.6%	-2.3%	-2.2%	1.4%
	NOK	10.91	10.90	10.80	10.70	10.70	1.9%	3.8%	2.7%	-1.2%	0.1%	8.6%	9.1%
	CZK	24.14	24.00	23.70	23.50	23.40	3.2%	4.3%	3.0%	0.6%	0.8%	0.2%	1.7%
	PLN	4.32	4.20	4.20	4.10	4.10	5.3%	6.6%	3.7%	-2.1%	-1.7%	-2.3%	-1.4%
	HUF	361	340	340	335	335	7.8%	10.4%	4.8%	-1.9%	1.0%	6.5%	10.0%
	RON	5.23	5.25	5.27	5.30	5.30	-1.3%	1.8%	0.0%	0.4%	-2.8%	-2.7%	-3.1%
	TRY	53.89	55.86	58.08	60.14	61.72	-12.7%	18.3%	3.7%	-0.8%	-2.1%	-6.3%	-11.2%
	BRL	5.77	5.87	5.88	5.77	5.67	1.9%	11.1%	8.9%	1.9%	1.1%	11.9%	12.4%
	MXN	19.89	19.78	19.55	19.38	19.03	4.5%	8.9%	10.4%	1.5%	2.4%	6.3%	9.5%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 2Q'27

GBI-EM Global Diversified Return Forecast

	Total Return			Yield			Carry and Duration Rt			FX Spot vs. USD			FX Spot Return vs. USD		
_	1H26F	2H26F	2026	Current	2Q26F	4Q26F	1H26F	2H26F	2026	Current	2Q26F	4Q26F	1H26F	2H26F	2026
GBI-EM Global Diversified	2.7%	2.4%	5.2%	6.13%	6.11%	6.03%	2.8%	3.2%	6.1%				-0.0%	-0.8%	-0.8%
China	6.7%	-0.4%	6.2%	1.81%	1.75%	1.70%	2.3%	1.1%	3.4%	6.77	6.85	6.85	4.3%	-1.5%	2.8%
India	2.1%	-7.3%	-5.3%	6.97%	7.30%	7.40%	1.1%	2.1%	3.2%	96.30	89.00	89.50	1.0%	-9.2%	-8.3%
Indonesia	-11.8%	1.1%	-10.9%	7.20%	7.15%	7.30%	-2.1%	2.2%	-0.0%	18062	17000	17100	-9.9%	-1.1%	-10.8%
Malaysia	1.9%	-1.6%	0.3%	3.77%	3.90%	4.00%	0.4%	0.8%	1.3%	4.08	4.00	4.00	1.5%	-2.4%	-1.0%
Thailand	-13.4%	-1.5%	-14.7%	2.15%	2.55%	2.70%	-3.7%	-0.1%	-3.8%	33.62	32.50	33.50	-10.0%	-1.4%	-11.3%
Czech Republic	1.3%	4.6%	5.9%	4.54%	4.40%	4.30%	2.2%	2.4%	4.7%	21.16	21.79	21.21	-0.9%	2.1%	1.2%
Hungary	13.9%	7.6%	22.6%	5.31%	4.75%	4.45%	11.7%	3.5%	15.7%	313.31	330.36	318.97	2.0%	4.0%	6.0%
Poland	0.0%	4.8%	4.9%	4.86%	4.75%	4.70%	2.3%	2.2%	4.5%	3.78	3.79	3.66	-2.2%	2.6%	0.3%
Romania	4.4%	5.4%	10.0%	6.67%	6.40%	6.30%	4.9%	3.1%	8.2%	4.58	4.57	4.48	-0.5%	2.2%	1.7%
Serbia	0.5%	4.8%	5.3%	5.28%	5.30%	5.30%	1.1%	2.2%	3.3%	102.62	104.91	101.29	-0.5%	2.6%	2.0%
South Africa	11.1%	7.2%	19.1%	8.69%	8.30%	8.00%	7.2%	5.6%	13.2%	16.33	15.70	15.70	3.6%	1.6%	5.2%
Turkey	-10.2%	4.7%	-6.0%	35.13%	35.00%	35.00%	7.4%	14.3%	22.8%	47.03	48.00	53.50	-16.4%	-8.4%	-23.4%
Brazil	14.0%	8.4%	23.6%	14.28%	13.50%	13.00%	8.2%	7.4%	16.2%	5.08	5.35	5.40	5.3%	1.0%	6.3%
Chile	6.3%	2.4%	8.9%	5.50%	5.40%	5.60%	2.5%	1.3%	3.8%	924	840	830	3.7%	1.2%	4.9%
Colombia	17.1%	6.9%	25.1%	11.87%	12.50%	11.75%	9.0%	8.4%	18.2%	3219	3800	3800	7.4%	-1.4%	5.8%
Dominican Republic	10.7%	4.4%	15.6%	9.17%	9.75%	9.50%	3.5%	5.3%	9.0%	58.52	63.50	63.50	7.0%	-0.8%	6.1%
Mexico	10.6%	6.2%	17.5%	8.99%	8.75%	8.25%	6.5%	6.2%	13.1%	17.38	17.40	17.30	3.9%	0.0%	3.9%
Peru	-1.5%	2.2%	0.7%	5.73%	6.25%	6.50%	-0.3%	0.7%	0.4%	3.38	3.30	3.25	-1.2%	1.5%	0.3%
Uruguay	2.1%	5.7%	7.9%	7.40%	7.50%	7.50%	4.5%	3.1%	7.7%	40.20	38.50	38.00	-2.3%	2.6%	0.2%

Source: J.P. Morgan; Using current index weights for forward projections. As of 15-July-26 COB.

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	Overweight (buy)	Marketweight (hold)	Underweight (sell)
Emerging Markets Sovereign Research Universe*	9%	84%	7%
IB clients**	100%	84%	100%

*Please note that the percentages may not add to 100% because of rounding.
**Percentage of subject issuers within each of the "Overweight, "Marketweight" and "Underweight" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.
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